

MUMIAS SUGAR
C O M P A N Y L I M I T E D



2018 ANNUAL REPORT AND FINANCIAL STATEMENTS



Sweetening the lives of Kenyans

VISION, MISSION AND CORE VALUES

Vision

A leading producer of Sugar, Energy and related products.



Mission

To add value to all stakeholders through integrated processes in a dynamic, efficient and ethical manner to achieve growth and sustainability.



Our Core Values

- Integrity;
- Teamwork;
- Stakeholder Focus;
- Innovation and Creativity; and
- Business Focus



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CORPORATE INFORMATION

Board of Directors

Dr. K. Ngumbau - Chairman
 Mr. H. Rotich - CS The National Treasury
 Mrs. N. Kaminchia (Resigned 4th March 2019)
 Ms. N. Cidi Kumbathia
 Mrs. J. Tabuke
 Mr. A. Koech (Alternate to CS The National Treasury)
 Mrs. P. Adala (Resigned 7th December 2018)
 Mr. N. Orgut (Resigned 18th December 2018)
 Mr. P. Ingosi
 Mr. J. Maina (Appointed 22nd December 2017)
 Mr. S. Were (Appointed 22nd December 2017)

Registered Office

Mumias Sugar Company Limited
 Private Bag, Mumias.

Ag. Chief Executive Officer

Mr. Isaac Sumba Sheunda

Company Secretary

Ms Lynette Okiro
 Advocate & CPS
 Private Bag, Mumias.

Independent Auditor

RSM Eastern Africa LLP
 Certified Public Accountants
 1st Floor, Pacis Centre,
 Slip Road, off Waiyaki Way, Westlands
 P.O. Box 349 - 00606
 Nairobi, Kenya.

Principal Bankers

Kenya Commercial Bank Limited
 Kencom House
 P.O. Box 48400 - 00100
 Nairobi,
 Kenya.

Ecobank Kenya Limited
 Ecobank Towers, 15th Floor
 Muindi Mbingu Street
 P.O. Box 49584 - 00100
 Nairobi,
 Kenya.

Equity Bank (Kenya) Limited
 Equity Centre, 9th Floor
 Hospital Road, Upper Hill
 P.O. Box 75104 - 00200
 Nairobi,
 Kenya.

Legal advisers

Hamilton Harrison & Mathews Advocates
 Delta Office Suites, Waiyaki Way
 P.O. Box 30333 - 00100
 Nairobi, Kenya.

Wekesa & Simiyu Advocates
 Lenana Towers, 8th Floor, Lenana Road
 P.O. Box 10299 - 00100
 Nairobi, Kenya.

Wetangula Adan Makokha & Company Advocates
 KCB Building, 1st Floor, Moi Avenue
 P.O. Box 427 - 50200
 Bungoma, Kenya.

Mohammed Muigai & Company Advocates
 MM Chambers, 4th Floor, K-Rep Centre,
 Wood Avenue, Off Lenana Road, Kilimani
 P.O. Box 61323 - 00200
 Nairobi, Kenya.

MSC BOARD COMMITTEES

1. Human Resources & Nomination Committee

Ms. Naomi Cidi	Committee Chairperson
Mr. Stanley Were	Committee Member
Mr. Abraham Koech	Committee Member
Mrs. Joanne Tabuke	Committee Member
Mr. Peter Ingosi	Committee Member

2. Agriculture & Technical and Operations Committee

Mrs. Nancy Kaminchia	Committee Chairperson
Mr. Peter Ingosi	Committee Member
Mr. Nelson Orgut	Committee Member
Mr. Abraham Koech	Committee Member
Mr. Stanley Were	Committee Member
Mrs. Patricia Adala	Committee Member

3. Board Risk Audit and Compliance Committee

Mr. John Maina	Committee Chairperson
Mr. Abraham Koech	Committee Member
Mrs. Nancy Kaminchia	Committee Member
Mrs. Joanne Tabuke	Committee Member
Mr. Nelson Orgut	Committee Member

4. Board Procurement Tender and Assets Disposal Committee

Mr. Nelson Kiprono Orgut	Committee Chairman
Ms. Naomi Cidi	Committee Member
Mr. Peter Ingosi	Committee Member
Mr. John Maina	Committee Member

5. Board Finance and Strategy Committee

Mrs. Patricia Adala	Committee Chairperson
Mr. Abraham Koech	Committee Member
Mrs. Joanne Tabuke	Committee Member
Mr. Stanley Were	Committee Member
Mrs. Nancy Kaminchia	Committee Member

6. OTHERS (TRUSTEES)

1 Elimu Trust	Trustee
Mrs. Naomi Cidi	
2 Staff Retirement Benefits Scheme	Trustee
Mrs. Joanne Tabuke	Trustee
Mr. Peter Ingosi	
3 Staff Provident Fund	Trustee
Mrs. Joanne Tabuke	Trustee
Mrs. Nancy Kaminchia	

Share holding Information

Summary Returns as at Friday June 30 2018

Investor Pool	Records	Shares	Percentage
Local Individual	130,951	990,007,483	64.71%
Local Institutions	3,382	498,303,210	32.57%
Foreign Investor	610	41,689,307	2.72%
Grand Totals:	134,943	1,530,000,000	100.00%

Shares Distribution Statistics as at Friday June 30 2018

Range	Records	Range Total	Percentage
1 1 to 500	23,526	5,555,720	0.36 %
2 501 to 1000	39,466	27,512,633	1.80 %
3 1001 to 5000	49,135	113,754,038	7.43 %
4 5001 to 10000	10,587	75,579,090	4.94 %
5 10001 to 50000	9,311	199,068,663	13.01 %
6 50001 to 100000	1,384	100,423,292	6.56 %
7 100001 to 500000	1,248	261,623,959	17.10 %
8 500001 to 1000000	186	131,181,248	8.57 %
9 1000001 to 2000000000	100	615,301,357	40.22 %
Grand Totals:	134,943	1,530,000,000	100.00%

Directors Shareholding

Names	Shares
JOANNE TABUKE	15,000
JAMES MATHENG	6,200
NELSON ORGUT	6,000
Total	27,200

Top 10 Global Investors as at Friday June 30 2018

Names	Address	Shares	Percentage
1 PERMANENT SECRETARY TREASURY	P.O. BOX 9287-00100 NAIROBI KENYA	306,000,000	20.00%
2 KENYA COMMERCIAL BANK LIMITED	P.O. BOX 48400-00100 NAIROBI KENYA	26,322,100	1.72%
3 THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	P.O. BOX 30376-00100 NAIROBI KENYA	17,937,102	1.17%
4 ABDUL KARIM CHATURBHAI POPAT	P.O. BOX 48296-00100 NAIROBI KENYA	14,400,000	0.94%
5 PETER NJENGA MUHIKA	P.O. BOX 59242-00200 NAIROBI KENYA	10,155,615	0.66%
6 BID PORTFOLIO MANAGEMENT LTD	P.O. BOX 40127-00100 NAIROBI KENYA	10,000,000	0.65%
7 YANA TRADING LIMITED	P.O. BOX 55358-00200 NAIROBI KENYA	8,589,011	0.56%
8 AMEERALI K ABDULRASUL SOMJI	P.O. BOX 90682- MOMBASA KENYA	8,402,941	0.55%
9 PRADEEP PATANI	P.O. BOX 48673-00100 NAIROBI KENYA	7,663,202	0.50%
10 NAIROBI MEDICAL STORES LTD	P.O. BOX 49996-00100 NAIROBI KENYA	7,200,000	0.47%
11 Others		1,113,330,029	72.77%
Grand Totals:		1,530,000,000	100.00%

Notice of the Annual General Meeting (AGM) 2018

NOTICE IS HEREBY GIVEN to the shareholders of Mumias Sugar Company Limited that the 47th Annual General Meeting of the company will be held in Kisumu on Friday 5th April, 2019 at Tom Mboya Labour College at 10.00 am to conduct the following business:

AGENDA

1. Constitution of the meeting

- a) To read the notice convening the Meeting and determine if a quorum is present.
- b) To confirm the minutes of the 46th Annual General Meeting held on 22nd December, 2017.

2. Ordinary Business

- a) Report and Financial Statements for the year ended 30th June, 2018
To receive, consider and if approved, adopt the Financial Statements for the year ended 30th June, 2018 together with the Directors and Auditors Reports thereon.
- b) Election of Directors:
 - i. Mr. Henry Rotich, Dr. Kennedy Ngumbau, Ms Joanne Tabuke, and Ms Naomi Cidi are due to retire by rotation in accordance with article 113 of the company's Articles of Association and being eligible offer themselves for re-election.
 - ii. Mr. Nelson Orgut, Mrs. Nancy Kaminchia and Mrs. Patricia A. O Adala resigned from the board in the course of the year and shareholders will elect suitable Directors to fill these positions.
 - iii. Shareholders will elect suitable Directors to fill these vacant positions.

In accordance with the provisions of section 769 of the Companies Act, 2015 the following directors, being members of Board Risk, Audit and Compliance Committee be elected to continue to serve as members of the said committee

- i. Mr. John Maina
- ii. Mr. Abraham Koech
- iii. Mrs. Joanne Tabuke

c) Remuneration of Directors

To consider and approve the Directors' fees for the year ended 30th June 2017

d) Appointment and remuneration of Auditors

To note that the Auditors Messrs R.S.M Eastern Africa being eligible, continue in office in accordance with section 712(2) of the Companies Act 2015 and to authorize the directors to fix their remuneration.

BY ORDER OF THE BOARD



Lynette Okiro

Company Secretary

Date: 12th March 2019.

Note:

1. Any member may by notice duly signed by him or her and delivered to the Secretary, Office of the Company Secretary, Mumias Sugar Company Limited, Headquarters, Off Bungoma-Kakamega Road, Mumias, P.O Box Private Bag, Mumias, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any other person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected. The proposed person need not be a member of the company.

2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company. A form of proxy may be obtained from the Company's web site or from the company's share registrars. To be valid, a form of proxy must be duly completed and signed by the member and must either be lodged at the offices of the

company's share registrars, or be posted, so as to reach Image Registrars Limited, 5th Floor, Barclays Plaza, Loita Street, P.O. Box 9287, Postal Code 00100 G.P.O NAIROBI not later than Wednesday 3rd April, 2019.

If the appointer is a corporation or Government office, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such corporation or Government office.

3. In accordance with the article 155 of the company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and a proxy form may be viewed on and obtained from the Company's web site at www.mumias-sugar.com. An abridged version of the statement of Financial Position, Statement of Profit or Loss and other comprehensive income, statement of changes of equity and statement of cash flow for the year ended 30th June 2018 have been published in two daily newspaper with nationwide circulation.

Notisi ya Mkutano wa Pamoja wa Mwaka (Agm) 2018

NOTISI INATOLEWA kwa wanahisa wa Kampuni ya Sukari ya Mumias kwamba mkutano wa mwaka wa 47 utaandaliwa **Mjini Kisumu siku ya Ijumaa Aprili 5, 2019 katika Chuo cha Tom Mboya Labour College kuanzia saa nne asubuhi** kushughulikia masuala yafuatayo:

AGENDA

1. Kuanzishwa rasmi kwa mkutano

- Kusoma notisi ya kuandaliwa kwa mkutano huu na kudhibitisha kwamba idadi ya wanahisa waliohudhuria inatosheleza kabla ya kuanza mkutano kirasmi.
- Kusoma na kuthibitisha kumbukumbu za mkutano wa 46 ulioandaliwa tarehe 22 Disemba, 2017.

2. Biashara ya kawaida

- Taarifa za kifedha za mwaka uliokamilika Juni 30, 2018
Kupokea, kutathmini na ikipitishwa, kuidhinishwa taarifa za kifedha za mwaka uliokamilika Juni 30, 2018 pamoja na ripoti ya wakurugenzi na wakaguzi hapo baadaye.
- Kuchagua wakurugenzi:
 - Bw. Henry Rotich, Dr. Kennedy Ngumbau, Bi. Joan Tabuke na Bi. Naomi Cidi wanatarajiwa kustaafu kulingana na kipengee cha 113 cha sheria za kampuni za mashirika.
 - Bw. Nelson Orgut, Bi. Nancy Kiminchia na Bi. Patricia A. O Adala walijiuzuru kuhudumu katika bodi katikati mwa mwaka na kwa hivyo wanahisa watateua wakurugenzi wengine kujaza nafasi hizi.
 - Wanahisa watateua wakurugenzi wengine faafu ili kujaza nafasi hizi zilizoachwa wazi

Kulingana na sheria ya vyama vya ushirika sehemu ya 769, ya mwaka 2015 wakurugenzi wafuatao, na ambao ni wanachama wa bodi ya usalama, ukaguzi na udumishaji wa viwango stahiki wanapendekezwa kuendelea kuhudumu kama wanachama wa kamati hii. Wakurugenzi hao ni:

- Bw. John Maina
- Bw. Abaham Koech
- Bi. Joan Tabuke

(c) Malipo ya Wakurugenzi

Kutathmini na kupitisha malipo ya wakurugenzi ya mwaka uliokamilika Juni 30, 2017.

(d) Kuteuliwa kwa wakaguzi na kuamua mshahara wao

Kutambua kwamba wakaguzi Messrs R.S.M. Eastern Africa, kwa kutimiza masharti waendeleo kuhudumu ofisini kulingana na sehemu ya 712(2) ya sheria za kampuni za 2015 na kuidhinisha wakurugenzi kuamua malipo yao.

KWA AGIZO LA BODI



Lynette Okiro

Kaimu Katibu wa Kampuni
Machi 12, 2019

Tanbihi:

1. Mwanachama yeyote kwa notisi iliyotiwa sahihi naye na kuwasilishwa kwa katibu, *Office of the Company Secretary, Mumias Sugar Company Limited, Headquarters, Off Bungoma-Kakamega Road, Mumias, P.O.BOX Private Bag Mumias*, kwa siku zisizopungua 3 na zisizozidi 21 kabla ya tarehe iliyotajwa ya mkutano mkuu anaweza kupeana notisi ya matarajio yake na kupendekeza mtu yeyote achaguliwe kama mkurugenzi katika bodi. Notisi ya aina hii iandamane na notisi iliyotiwa sahihi na mtu aliyependekezwa ikionyesha kwamba yuko tayari kuchaguliwa. Mtu aliyependekezwa si lazima awe mwanachama wa kampuni.

2. Mwanachama aliye na haki ya kuhudhuria na kupiga kura kwenye mkutano na ambaye hawezi kuhudhuria ana haki ya kumteua mwakilishi ahudhurie na apige kura kwa niaba yake. Mwakilishi si lazima awe mwanachama wa kampuni. Fomu ya mwakilishi yaweza kupatikana katika wavuti wa kampuni ama kwa *Company's Share Registrars*. Ili iwe halali fomu ya mwakilishi lazima iwe imekamili na kutiwa sahihi na mwanachama na lazima iwasilishwe kwa *Company's Share Registrars* au itumwe kwa njia ya posta ndipo

ifikie *Image Registrars Limited*, ghorofa ya 5, Barclays Plaza, Loita Street, P. O. Box 9287, Postal Code 00100 G.P.O. NAIROBI kabla ya siku ya Jumatano Aprili 3, 2019.

Kama mteuzi wa mwakilishi ni shirika au ofisi ya serikali, taasisi inayoteua mwakilishi itakubaliwa kufanya hivyo kwa kusimamiwa na nembo yake, au sahihi ya afisa msimamizi au wakili aliyedhinishwa wa taasisi hiyo au ofisi ya serikali.

3. Kulingana na kipengee 155 cha sheria za kampuni za Mashirika (The Company's Articles of Association), nakala ya ripoti nzima ya mwaka na ripoti za kifedha, nakala ya notisi hii na fomu ya mwakilishi yaweza kusomwa na kupakuliwa kutoka mtandao wa kampuni ambao ni www.mumias-sugar.com. Nakala ya taarifa kuhusu hali ya kifedha, taarifa ya faida au hasara na taarifa kamili nyinginezo za mapato, taarifa za mabadiliko, mabadiliko katika matumizi ya fedha na maelezo ya shughuli za kifedha za mwaka uliokamilika Juni 30, 2018 zote ziwe zimepigwa chapa katika magazeti mawili makuu yanayosambazwa kote nchini.

DIRECTORS



Dr. Kennedy Ngumbau Mulwa, PhD, HSC

Kennedy holds a United Graduate College and Seminary International honorary Doctor of Philosophy Degree in Humanities and is currently pursuing a Doctorate degree in Business Leadership at Management University of Africa. He also holds an Executive MBA from Jomo Kenyatta University of Agriculture and Technology and a BA Degree in Economics (1st Class Hons), from State University of New York, Old West New York-U.S.A. and Diplomas in Business Management, Education (Humanities), and Theology. He has participated in several Seminars and workshops in all aspects of management including Corporate Governance.

Dr. Ngumbau is a leading Executive Administrator of high integrity, honesty, transparency and prowess in both international & National development. He has and continues to participate in a dynamic and competitive environment which espouses team work, equity, creative innovation, accountability, professionalism, valuing diversity, commitment to service delivery, proactiveness, rule of law, value addition and participatory leadership with a goal driven objective of transforming the country. He has over 15 years valuable experience in top leadership both nationally and internationally in the USA. Currently he is the Managing Director/CEO of M & M Hotels & Resort Ltd-4 star Hotel, Muken General Traders (Dealers in electronics & real estate), Whitestone Auctioneers (K) Ltd -Class B license holder and Elgon Properties Limited. He is a Director in Pelican Signs Limited, Director Asia Pacific (HNS) Based in Australia (Whitehead), Hong Kong (Central) and China- Guang -Guang-Zhon, Muland Properties, Member of Diplomacy of Commerce of Kenya National Chamber of Commerce & Industry, Cottars Safari Services Ltd, Milestone Auctioneers Ltd and St. Lukes Secondary School-Machakos. He is a Chairman on the Boards of Zoar General Contractors Ltd, Mulundini Development Group Association and Ukambani Economic Empowerment Association. He has also done a lot in community service in diverse areas within the republic of Kenya.



Mr. Peter Khamusali Ingosi

Mr. Ingosi holds a Master of Arts degree in Community Development & Project Management from Suny University Geneseo, USA, a post graduate Diploma in Sustainable Community Development & Project Management from Baraka Agricultural College and a Bachelor of Science degree in Animal Production from Egerton University. Peter is a longtime advocate of grassroots development and has more than 12 years in the private, public and NGO sectors.

Peter is a consultant and Liaison person in diverse areas of Community Development inter alia, HIV/ AIDS, Women Empowerment, Protection of the girl child and other vulnerable groups in society. This he has practiced with women Microfinance Initiative, Cabin John, MD Washington USA; Just One person (JOP); North Valley Community Foundation, Chico State USA; and Fund for Orphans Affected with Aids in Africa (FOAA) amongst others. Peter has strong mobilization, teamwork, intercultural integration and effective communication skills.

He was formerly the Program Director at Foundation for Sustainable Development International (FSD), USA & SFO. He also worked at Unga Feeds Ltd as a production Manager and lectured at Baraka Agricultural College. He has served on various school boards and other institutions.



Mrs. Joanne Tabuke

Mrs. Joanne Tabuke holds a Bachelor of Arts Degree from the University of Nairobi and a Post graduate Diploma in Human Resource Management. She is an active member of the Institute of Human Resource Management and has an extensive experience as a Human Resources Specialist spanning over 20 years. She has highly achieved from over 12 professional training opportunities in Human Resources Management and corporate governance. Currently, she heads the Human Resources function at Rea Vipingo Plantations Limited – Dwa Estate being the Human Resources & Administration Manager. Previously, Joanne served this role at Mumias & Busia Sugar Companies amongst other assignments, giving her a wealth of corporate leadership experience.

In addition, she is serving as a Director on the Boards of Mumias Sugar Company Limited and Nasio Trust where she is the Chairperson of the Board of Trustees. Nasio Trust operating in Musanda & Mumias is a testament to her strength & prowess in corporate governance and community mobilization. Joan's tenure has catalyzed the success of Nasio Trust in supporting around 400 orphaned & vulnerable children and empowering the community to break the cycle of poverty through establishment of sustainable income-generating projects. Previously, she served on the Board of Lake Victoria North Water Services.

DIRECTORS



Ms. Naomi Cidi Kumbatha

Naomi holds a Masters of Arts Degree (MA) and Post graduate Diploma in marketing from McGill University in Canada, and is an active member of The Institute of Director (IOD) Kenya and The Marketing Society of Kenya. She has also attended a number of specialized seminars and workshops in all areas of marketing and personnel management, international labour laws, laws of Kenya and customer service related to all products based on international standards.

Ms. Cidi, is a communication and marketing expert, currently operating in the Great Lakes region on an Aviation Consultancy Contract, opening offices for small airlines. She has demonstrated Particular strength in the fields of Marketing, Public Relations, Personnel Management and Industrial Administration having worked in senior positions at corporate management level for over 15 years, including four years as the Deputy Managing Director of Kenya Airports Authority, where she was instrumental in the development of plans for expansion of infrastructure and service delivery. Amongst her other key assignments was the General Manager in charge of Sales at Kenya Airways and oversaw a record performance in terms of growth in passenger numbers and revenues. Her other key achievements include the successful marketing of the Kenya Duty Free Complex from 1992 to 1995; and implementing a very effective marketing and publicity Campaign for the First Africa Military Games in 2002. She has chaired the Board of Airlines (BAR) and APJC in East Africa.

She is involved in empowerment of the general welfare of Kenya through the promotion of women economic development and advancement of good corporate Governance. She initiated and launched the Malindi Women Development Trust to help village women in establishing small scale business and exploit available natural resources such as the Neem Tree which grows wild in Kilifi County.



Mr. Abraham Koech

Mr. Koech is a holder of MBA in Strategic Management from Jomo Kenyatta University of Agriculture and Technology and a BA Hons in Economics from the University of Nairobi. Has over 23 years of service in Corporate and Public Sector. Currently, serving as an Alternate to the Cabinet Secretary National Treasury in the Boards of Mumias Sugar Company Ltd, Kenya Seed Company Ltd, and Kenya Film Classification Board.



Mr. John Mwangi Maina

Mr. Maina holds a Master of Business Administration degree from Eastern and South African Management Institute (ESAMI) and a Bachelor of Commerce-Accounting degree from University of Nairobi. He is a Certified Information System Auditor CISA from ISACA & Strathmore University. He is also a Certified Public Secretary and Accountant. Mr. Maina is now pursuing a Master of Science degree in Development Finance at Strathmore University. Currently, he works for Maina Macharia & Co CPA where he is a Partner. Previously he was a consultant of KTDA, Country Manager (2012), Finance Manager (2010-2011) Head Of Internal Audit 2009-2010 and an internal auditor (2008-2009) of Hass Petroleum Uganda Limited. He also worked for Deloitte as an Audit Senior and was also an Accountant at Consolsia Limited (Now Acorn Group Limited)



Mr. Stanley Were

Mr. Were holds a B.Sc. Engineering (Hons) from the University of Nairobi and post graduate trainings in Management Development, Quality Management Systems (KEBS Nairobi/ISO-Geneva), Team Building & Strategy, Executive Development Programme-Witts University SA, in addition to Corporate Governance Training- from the Institute of Directors among many others.

He is a Management consultant and Energy expert (Oil and gas). Previously he worked for Galana Oil Kenya Ltd. as General Manager International Sales, Mogas Group International as the Chief Operating Officer, MGS International (Kenya) Limited as the Managing Director, Petro Oil Kenya ;as the Director of Regional Exports (Eastern and Southern Africa) and Country Manager - Rwanda; Total Kenya Ltd as the Specialties Manager; Caltex Oil (Kenya) as the Lubricants Sales and Technical Services Manager prior to which he was a Product Engineer. He started his career at Mumias Sugar Company Limited as a Maintenance Engineer in 1984 where he served for three years.

Stanley is an experienced Projects and Change Management resource, with proven delivery on both social and Commercial ventures. He has served on various East African boards during the last two decades, including the Kenya Bureau of Standards as chairman of the Committee on Standards for three years.

CHAIRMAN'S REPORT



Dr. Kennedy Ngumbau Mulwa,
PhD, HSC
Chairman

Overview

The year ended 30th June 2018 was a very challenging one in terms of achieving the company's objectives. The company faced acute cane shortage and loss of farmer loyalty which led to low production and underutilization of the factory operations as the plant shut down as from April 2018 leading into a loss at the end of the year.

Despite the significant challenges faced by the company during the fiscal year under review, the Board approved a five year implementation of a Strategic Plan 2018/2022 that will give a road map to the recovery of Mumias Sugar Company. The Board and the Management remain focused on putting in place stringent measures to ensure that the company regains its glory.

Business Environment Review

The world sugar production in 2017/2018 was forecasted to be the season of world just break-even point due to shift of more cane for ethanol production in Brazil. The outer years also forecast a similar scenario but could slip into supply deficit. Sugar prices in the key markets have been falling in the last 3 years and are likely to stabilize at USD 500 per tonne in 2018/2019, while world trade in the sugar is expected to hit 51 million metric tonnes. The highest annual growth rate in sugar consumption in Sub-Saharan Africa remains at 3.28% annually. Africa is expected to import 3 million metric tonnes in 2018/2019 to plug in the deficit.

In Kenya, sugar production in 2017/2018 was 377,818 metric tonnes compared to 639,742 metric tonnes achieved in 2016/2017, representing a 41 per cent decrease. This was attributed to an acute cane shortage experienced in most



sugarcane growing zones in the country. Farmer loyalty/ loss of confidence, inadequate capacity utilization, cane poaching which is as a result of free zoning in the industry, unethical practices and poor maintenance of the Nucleus Estate fields were some of the reported challenges.

Sugar sales in 2017/2018 were 14,614 metric tonnes compared to 15,952 metric tonnes in 2016/2017, a decrease of 9%, attributed to low sugar production in the year. Sugar closing stock held by all the sugar factories as at the end of 2017/2018 was 11,668 metric tonnes against 2,876 metric tonnes observed in 2016/2017. Sugar stocks dropped by 75% following a favourable price hike after the Government's ban on contraband sugar and reduction on sugar imports in the market. The Sugar imports totaled 989,619 tonnes compared to 334,109 tonnes shipped in the same period in 2017. Bulk of the sugar imports was of brown/mill white type (829,871 metric tonnes), representing 84% of the total consignment. The increase in table sugar imports was a government initiative to allow in sugar duty free to help bridge the gap as a result of low production by sugar factories.

Despite the changes in the business environment, the company operated in an environment that was characterized by continuous changes, ever-emerging issues and cut-throat competition. The Board of Directors approved the implementation of the Strategic Plan

2017/2018 – 2021/2022 which will provide the road map for the company in meeting her vision as a leading producer of sugar, energy and related products in the coming years.

Company Performance

Volume of cane delivered to the factory for processing dropped significantly by 32% as compared to 2016/2017 financial year.

Gross turnover reduced to KSh 2,328 million as compared to previous year KSh 3,341 million mainly because of the reduced sales volumes across the various product lines of the company caused by the long closure of the factory.

Dividends

Due to the challenging performance of the company in the period under review, the Directors do not recommend payment of dividends.

Future Outlook

There has been unease in the market due to the uncertainty of the outcome of the Sugar Task Force. This is particularly with regard to the issue of zoning. Some of the structures that have been proposed by the Government are aimed at resuscitating and revamping the sugar sector. The future of the sector appears to be vibrant due to the initiatives being implemented by the Government.

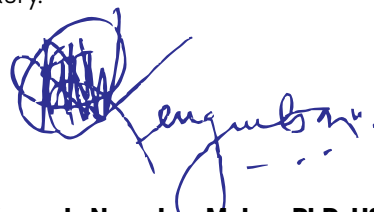
Among the challenges experienced by the sector are adverse weather patterns and an oversupply of the product in 2017/18 due to over-importation. The Board of Directors views the company's outlook as positive despite the serious challenges. The Board approved the implementation of the company's five year Strategic Plan 2017/2018 - 2021/2022 on which the turnaround strategy is anchored. Discussions with key stakeholders are underway with a focus on obtaining a restructured debt portfolio and acquisition of a strategic investor to enhance the company's financial capabilities. We have also had structured engagements with the Kenya Revenue Authority and the Kenya Power and Lighting Company.

Following the reconnection of power to the company, we have now restarted the Factory and are currently producing ethanol. This segment is vibrant with the distillery currently operating independent of the sugar plant. Molasses supply logistics will be streamlined to sustain continuous production throughout the year. Revenues earned from the sale of Ethanol will be used

to establish a cane purchase revolving fund to ensure prompt payment of farmers for cane delivered. Various assets and facilities will be leased out competitively to realize cash held in non-productive assets. The staff structure is being optimized for effective realization of the company's mandate as more focus is placed on cost control and financial management.

Appreciation

We are grateful to our shareholders for their continued support, understanding and patience as the Board of Directors continues to steer the company back to its lost glory.



Kennedy Ngumbau Mulwa, PhD, HSC
Chairman

Kauli ya Mwenyekiti



Dr. Kennedy Ngumbau Mulwa,
PhD, HSC
Mwenyekiti

Utangulizi

Mwaka uliokamilika Juni 30, 2018 ulikuwa mwaka wenye changamoto nyingi kwa kuzingatia malengo ambayo MSC ilitaka kutimiza. Kulikuwa na uhaba mkubwa wa miwa hali iliyoelekeza wakulima kupoteza imani yao kwa kiwanda kwa kukosa kusaga kwa kuwa shughuli za kiwanda zilisimama mwezi wa aprili, 2018 hali iliyoelekeza kupatikana kwa hasara kubwa mwisho wa mwaka.

Licha ya changamoto kubwa ambazo MSC ilipitia mwaka huo, bodi iliidhinisha mkakati wa miaka mitano (2018-2022) wa kufufua MSC upya na kuirejesha katika hadhi yake ya hapo awali. Bodi na usimamizi uko makini kuweka mikakati faafu kuhakikisha kuwa jambo hili limefanyika.

Mazingira Ya Uwekezaji

Usagaji wa sukari duniani ulitarajiwa kwenda juu zaidi kutokana na hali ya miwa nyingi kutumika katika utengezaji wa pombe (ethanol) huko Brazil. Hali hii inatarajiwa kuendelea katika miaka ijayo ya hivi karibuni ijapokuwa hali hii inaweza pia kugeuka na kuleta ukosefu wa sukari kwenye soko. Bei ya sukari katika soko la ulimwengu imekuwa ikishuka kwa kipindi cha miaka mitatu ambayo imetangulia na inaweza kusimamia kwa dola 500 za kimarekani kwa tani moja katika mwaka 2018/2019, huku biashara ya sukari ikitarajiwa kufikia metriki tani milioni 51. Kiwango cha juu cha ukuaji wa utumiaji wa sukari barani Afrika kimebakia kuwa 3.28% kila mwaka. Mintarafu ya hayo, Afrika inatarajiwa kuagiza kutoka nje tani metriki milioni tatu mwaka 2018/2019 ili kufidia upungufu uliopo.

Nchini Kenya uzalishaji wa sukari katika mwaka wa 2017/2018 ulikuwa metriki tani 377,818 ukilinganishwa na uzalishaji wa metriki tani 639,742 mwaka wa 2016/2017, kwa hivyo uzalishaji ulishuka kwa kiwango cha 41%. Hali hii



ilisababishwa na upungufu mkuu wa miwa ulioshuhudiwa kote nchini katika maeneo yanayokuza miwa hapa nchini. Wakulima kupoteza imani, ukosefu wa utumiaji wa maarifa kwa ukamilifu, wizi wa miwa kutokana na ukosefu wa mipaka ya kamaeneo, uendeshaji wa biashara ya miwa pasina kuzingatia maadili na utunzaji duni wa miwa ya Nucleus Estates fields ni baadhi ya changamoto kuu zilizoripotiwa kuchangia matokeo haya duni.

Mauzo ya sukari katika mwaka wa 2017/2018 yalikuwa tani metriki 14,614 ilhali mazao ya mwaka 2016/2017 yalikuwa tani metriki 15,952 hali iliyodhihirisha ushukaji wa kiwango cha 9% hasa kutokana na usagaji wa kiwango cha chini katika mwaka huo. Hifadhi ya sukari kufikia mwisho wa mwaka 2017/2018 ilikuwa metriki tani 11,668 ikilinganishwa na hifadhi ya metriki tani 2,876 mwaka wa 2016/2017. Hifadhi ya sukari ilishuka kwa kiwango cha 75% na wakati uo huo bei yake kupanda baada ya serikali kupiga marufuku uagizaji wa sukari ghushi na upunguzaji wa uagizaji wa sukari kutoka nje ya nchi. Jumla ya kiwango cha uagizaji wa sukari kutoka nje ilikuwa metriki tani 989,619 ikilinganishwa na kiwango cha metriki tani 334,109 kilichoagizwa kutoka nje mwaka wa 2017. Kiasi kikubwa cha aina ya sukari iliyoagizwa kutoka nje kilikuwa brown sugar/mill white (metriki tani 829,871), kiasi kilichowakilisha kiwango cha 84% ya sukari yote iliyoagizwa. Ongezeko la uagizaji wa sukari kutoka nje lilitokana na mkakati wa serikali wa kuagiza sukari kutoka nje bila kutozwa kodi ili kuziba pengo lililokuwepo nchini kutokana na usagaji wa kiwango cha chini ulioshuhudiwa hapa nchini.

Licha ya mabadiliko ya mazingira ya kibiashara yaliyoshuhudiwa, MSC iliedesha shughuli zake katika mazingira ya kubadilika kila wakati, masuala ibuka ya kila wakati na mashindano makali baina yake na viwanda

vingine. Bodi ya Wakurugenzi ya MSC iliidhinisha utekelezaji wa Mkakati wa Kufufua Kampuni 2017/2018 – 2021/2022, mkakati ambao utaelekeza MSC kufikia ndoto yake ya kuwa kampuni inayoongoza katika uzalishaji wa sukari, umeme na bidhaa zingine husika katika miaka ijayo.

Shughuli za Kampuni

Kiwango cha miwa iliyowasilishwa kwa kiwanda kusagwa kilishuka kwa kiwango kikubwa kwa 32% ikilinganishwa na mwaka wa kifedha 2016/2017.

Pato la kijumla lilishuka kufikia shilingi milioni 2,328 ikilinganishwa na mwaka uliotangulia ambapo pato la kijumla lilikuwa shilingi milioni 3,341 kutokana kupungua kwa mauzo ya kijumla ya bidhaa zetu kutokana na kufungwa kwa kiwanda.

Malipo ya Mgao wa Faida

Kutokana na utendaji uliokumbwa na changamoto kiasi katika mwaka unaorejelewa, wakurugenzi hawakupendekeza malipo ya mgao wa faida.

Mtazamo wa Baadaye

Soko la sukari limetawaliwa na taharuki kutokana na hali ya kutoweza kujua matokeo ya jopo lililoteuliwa kutathmini hali ya viwanda vya sukari hapa nchini. Taharuki hii inahusu hasa sheria kuhusu maeneo ya wakuza miwa yanayopasa kutengewa viwanda mbalimbali. Baadhi ya mikakati iliyopendekezwa na serikali inanuia kuifufua na kuiinua sekta ya sukari. Hatima ya kampuni inaonekana kuwa yenye matumaini kutokana na juhudi zinazofanywa na serikali.

Kati ya changamoto ambazo MSC ilipitia ni hali ya hewa isiyopendeza nakuwepokwa wingi wa sukari sokoni mwaka

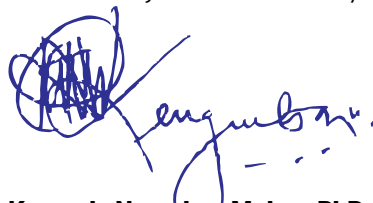
wa 2017/2018 kutokana na uagizaji mwingi wa sukari kutoka nje. Bodi ya wakurugenzi inauona mtizamo wa MSC kuwa mwema licha ya changamoto nyingi zinazojitokeza. Bodi imeidhinisha utekelezaji wa mkakati wa kufufua MSC 2017/2018 – 2021-2022 na ambao ni msingi muhimu unaozielekeza juhudi za kuifufua kampuni na kumpata mwekezaji atakayeinua MSC kifedha. Majadiliano baina ya wanahisa yataandaliwa kwa madhumuni ya kupata njia faafu ya kukabiliana na madeni na wakati uo huo kumpata mwekezaji atakayeipiga jeki MSC kifedha. MSC pia imekuwa na mikutano rasmi na Kenya Revenue Authority na Kenya Power and Lighting Company.

Kufuatia MSC kurejeshewa stima, kiwanda kimerejelea shughuli zake na kwa hivi sasa tunatengeneza ethanol. Kijiwanda hiki kinafanya kazi kivyake pasina kutegemea kijiwanda cha usagaji sukari. Hata hivyo upatikanaji wa molasi utaimarishwa ili kuhakikisha utengenezaji wa ethanol unaedelea pasina kusimama. Pesa zitakazopatikana kupitia uuzaji wa ethanol zitatumika

kujenga hazina ya kuwalipia wakulima pasina kukawia mara tu wanapowasilisha miwa yao kiwandani. Vilevile mali na vifaa tofautitofauti vitakodishwa ili kuleta faida kutokana na mali ambayo haiteti faida. Wafanyakazi wa MSC watachunguzwa pia ili kufikia malengo ya kampuni kwa gharama ya chini huku udhabiti wa usimamizi wa kifedha ukihimizwa.

Shukrani

Tunawashukuru wanahisa wetu kwakuendelea kutushikilia, kuelewa na kuvumilia huku bodi inapoendelea kuinyanyua MSC ili kuirejesha katika hadhi yake ya hapo mbeleni.



Kennedy Ngumbau Mulwa, PhD, HSC
Chairman



MANAGEMENT TEAM



Mr. Isaac Sumba Sheunda
Ag. Chief Executive Officer

Mr. Isaac Sumba Sheunda has a vast working experience of 28 years in various fields. He joined Mumias Sugar Company as a Senior Security Officer, moved to several other roles including Facilities Manager, Recruitment and Training Manager and there after rose to the rank of Head of Security Services. Before joining Mumias Sugar Company, he was in Charge of Diffu, Griftu and Gurar Police Stations within Wajir County. He served as the Director of Liberal Studies Faculty at the Kenya Police Training College Kiganjo. Isaac is the Chairman of Sukari Sacco, Director Kenya Union of Savings and Credit Societies (KUSCCO), Chairman IRNet Kenya and Chairman KUSCCO Trust Fund. He has been a member of the Board of Management of Namulungu, Bulimbo Girls and Makunda Muslim Secondary Schools. He is currently a member of the Management Board of Kholera secondary school.

Isaac is currently pursuing a PhD. Degree in Development Studies at Jomo Kenyatta University of Science And Technology. He is a holder of a Master of Science Degree in Conflict Resolution and Management from Masinde Muliro University of Science and Technology and a BA Degree from the University of Nairobi.

Jonathan has over 12 year's cumulative working experience including an extensive & practical Finance department leadership role with 2 years in Enterprise Risk Management & Strategy implementation. He joined Mumias Sugar Company Ltd. in September 2010, as an Internal Audit Manager in the Audit Department. He has risen through the ranks to the current position of Chief Finance Officer (Ag) effective 11th August 2017. Koome has served Mumias Sugar Company in the same capacity from March 2015 to January, 2016.

Prior to joining MSC, he was the Accounts Manager, ARM Cement Ltd Kenya. He also worked with Ernst & Young Nairobi, Kenya as an Audit Trainee rising to Senior Auditor and Consolidated Bank of Kenya as a Graduate Clerk. He holds an MBA (Finance option) Degree from University of Nairobi, Bachelor of Commerce (Accounting Option) Degree from Kenyatta University. He is a Certified Public Accountant of Kenya CPA (K) and a member of Institute of Certified Public Accountants of Kenya (ICPAK) and a Certified Information Systems Auditor (CISA).



Mr. Jonathan Koome
Head of Finance



Mr. Christopher Wabuti
Ag. Head of Factory Operations

Christopher Wabuti is an Engineer by profession with over 20 years of experience at senior levels in the Manufacturing industry. Prior to his appointment as the Ag. Head of Factory, he has also worked in MSC as the Engineering Manager - Electrical & Instruments, Production Manager - Ethanol Plant, Engineering Manager Mechanical Operations and Engineering Manager Projects & Planning. He joined MSC in 2007 with a wealth of experience gained from Coca-Cola, Mabati Rolling Mills, Beverage Services, Bata Kenya, Pan Paper and Kagira Sugar Works

Wabuti holds bachelors of Technology degree in Electrical and Communications from Moi University. He is a trained Energy Manager and industrial robotic programmer in manufacturing processes.

Boniface has 21 years' experience in the Sugar Industry. Prior to his current position he served the company as Out-growers Services Manager.

At Mumias Sugar Company, Boniface has a wide experience having been a Zonal Manager, Fertilizer & Seed Cane Supply Manager (FSSM), Fleet Manager, Agricultural Engineering Manager and Agricultural Services Manager. Before joining Mumias Sugar Company, Boniface was an Agricultural Officer in the Ministry of Agriculture. He holds a Master of Science Degree in Agricultural Extension and a Bachelor of Science Degree in Agricultural Engineering from Egerton University. He is currently a PhD student in Agricultural Extension at Maseno University. He has a certificate with a distinction in Sugarcane Agronomy from Mauritius and a member of the Kenya Society of Sugarcane Technologists.



Mr. Boniface Shikuku Makhandia
Ag. Head of Agriculture

Mr. Shiundu is a HR professional with over 26 years' hands on experience. Prior to his appointment as the (Ag) Head of Human Resource, Mr. Shiundu has also served as Employee Relations Manager, Learning & Development Manager, and Human Resources Business Partner in Factory & Agriculture.

Mr. Shiundu is a holder of a Master's degree in Business Administration (Strategic Management option) from Masinde Muliro University of Science and Technology, Bachelor Degree in Business Administration from Kenya Methodist University, Diploma in Business Management from Kenya Institute of Management. He is currently pursuing a Doctor of Philosophy Degree (PhD) in Business Administration (Strategic Management option) at Jomo Kenyatta University of Agriculture & Technology. He has attended key trainings in HR: - Performance Management, Productivity Management, Employee Relations, Trainer of Trainers Labour laws among others.

He is a Member of Institute of Human Resource Management (IHRM) where he has served as an Executive Committee Member to the Board of Nyanza and Western Branch and a member of Kenya Institute of Management (KIM) where he is serving as an Executive Committee Member to the Board of Kakamega Branch.



Mr. John Andanje Shiundu
Ag. Head of Human Resources



Mr. Anthony Asami Opala
Ag. Head of Commercial

Anthony has a wide experience spanning over 27 years gained from the Dairy and Sugar Industries. Before joining Mumias Sugar Company on 1st April 2004 as Area Trade Development Manager, he was the Sales Manager at Kenya Co-operative Creameries Limited. Prior to his current position, he has worked as Warehouse Manager and Customer Service Manager.

He holds a Bachelor of Arts degree from Nairobi University and has done Program management.

Lynette has a wide experience spanning 27 years gained from working with private law firms and various organisations. Before joining Mumias Sugar Company, she was the Head of the Legal Department at AUA Industrial Limited. She also worked with Kenya Airways as Senior Legal Counsel and Company Secretary of the Kenya Airways subsidiary companies, Kenya Cargo Handling Limited, Africa Cargo Handling Limited, Kenya Airfreight Handling Limited and the former Flamingo Airlines. Her areas of specialization include commercial, corporate and real estate law.

She holds a Bachelors Degree in Law from the University of Nairobi and a Postgraduate diploma from the Kenya School of Law. She is also a registered Certified Public Secretary.



Ms. Lynette Achieng Okiro
Company Secretary and Head of Legal Affairs



Mr. Dalmas Wala Juma
Ag. Manager Risk, Audit and Compliance

Mr. Wala has over 23 years' experience in accounting and auditing. He is a Certified Public Accountant (CPAK) and a member of the Institute. He is a holder of a Bachelor Degree in Business Management (Finance option) from Masinde Muliro University of Science and Technology and a certificate in ACL (Audit Command Language). He is a Director Sukari Sacco and a delegate CIC Group. He has held various positions in Board of Management in Schools and Church.

CEO'S REPORT



Mr. Isaac Sumba Sheunda
Ag. Chief Executive Officer

During the financial year 2017/2018, the Company had a net loss after tax of KSh 15.1 billion against KSh 6.8 billion in the previous year 2016/2017 which is attributed to reduced production throughput, higher impairment charges and tax adjustments.

Agricultural Operations

Cane availability was a major challenge throughout the financial year ending 30th June 2018. During the financial year 2017/2018, a total of 283,435.66 tonnes of cane were delivered to the factory, which was 32% lower than the previous year's of 417,347.14 tonnes. Of the 283,435.66 tonnes of cane delivered, the company's Nucleus Estate contributed 26%, while Out growers deliveries comprised 74%. From Out growers, contracted farmers contributed 73,731.94 metric tonnes (35%), while private farmers contributed 136,571.66 metric tonnes (65%). The average cane yield remained low at 29 TCH for Out growers and 47 TCH for Nucleus Estate respectively. The low yield was because most fields were not adequately fertilized and weeding was not effectively done due to inadequate resources availability. The weather condition during the year was favourable for cane production. The cane zone received a mean of 2,098.6 mm of rainfall against a Long Term Mean (LTM) of 1,834.8 mm. This was 36% higher than 1,545.2 mm received against (LTM) of 2,050.6 mm the previous year. However, Cane development was below target as only 438.37 ha was planted against a budget of 3,000.0 ha. The area planted in the Nucleus Estate was 292.42 ha, while 145.95 ha was in Out grower fields. Resource constraints affected planting, weeding and fertilizer application in the company's Nucleus Estate. Cane development program for the Outgrower was negatively affected by delayed payments to farmers who were reluctant to be engaged before receiving payment for previous harvests.



Farmer Engagement

During the year, a lot of effort was expended to engage farmers and other industry stakeholders to appraise them on the industry challenges and response initiatives undertaken by the Company. Extension Meetings were conducted by management which accorded farmers and community leaders an opportunity to share their experiences and views.

Kisoko and Bumula Cane Buying Centres (CBCs) were operational throughout the year, serving the Western, Busia and Northern zones. Efforts to avail Navakholo CBC to serve the Eastern zone are on-going. The establishment of CBCs is aimed at reducing cane transport costs to farmers, expanding the cane catchment area and hastening delivery of cane to the factory using High Payload Units (HPUs).

Factory performance

The Factory resumed operations in mid-October 2017 after five months' shutdown due to lack of cane and operated until March 2018 before shutting down again because of inadequate cane supply.

General condition of the Factory and equipment was poor due to reduced maintenance. This negatively affected the technical efficiencies manifested by poor overall recovery and factory time efficiency of 60 and 76 respectively. Capacity utilization was low at 13.2 against a budget of 50.

Low Rendement was realized at 5.2 against budget of 7.2 for the five months crushing period. A total of 278,492 tonnes of cane were crushed yielding 14,622 tonnes of sugar. Distillery performed optimally, yielding 3,261,888 liters' of ethanol against a budget of 5,040,495 liters'. Power export amounted to 3,581 Mwh against budget of 15,275 Mwh, while importing 13,615 Mwh from the National grid.

Some projects were undertaken including installation and commissioning of a new BOSCH packaging machine, as well as refurbishment of two old 60T capacity boilers. Two new 1.25 MW capacity Diesel generators purchased in 2016 were received. PPA agreement with KPLC lapsed and

a new supplemental PPA is yet to be signed. Once signed, power exports will be charged at the new rates as per the revised PPA agreement.

Market operations

Sugar Sales

There was a decrease in locally produced sugar in the market in financial year 2017/2018 which was attributed to shortage of cane. The sugar industry in Kenya is majorly confronted by economic liberalization and global trade de-regulation challenges. Sugar sales prices dropped to Kshs 66,979 per ton compared to Kshs 81,329 per ton achieved last financial year ostensibly due to larger stocks of imported sugar.

Ethanol Sales

Ethanol sales dropped by 41% to a total of 4.39 million litres compared to 7.43 million litres the previous year due to low production levels following plant stoppages. Ethanol prices remained stable during the year, averaging Kshs 88 and Kshs 15 for Extra Neutral Alcohol and Technical Alcohol respectively.

The company is working out molasses and bagasse supply logistics to enhance ethanol production to meet the demand for ENA in the region.

Corporate social responsibility

The company takes cognizance of the changing dynamic environment it operates in and considers community engagement as a critical element in enabling it achieve its objective of cane availability. Since 2013 Mumias Sugar Foundation has spearheaded the company's community's social investment programs. Due to financial constraints the company faced during the financial year 2017/2018, most of the five thematic areas of Education, Health and Sanitation, Entrepreneurship and Income Generation, Environment and Disaster Risk Reduction and Recovery (DRR) were inactive.

Despite the finance constraints of the company, Elimu Trust sponsored 13 bright students during the year from the farming community and MSC staff respectively into

form one at Booker Academy for a four year education program. To date Booker Academy has a total of 73 students from form one to form four who are under the bursary sponsored scheme.

On good health and sanitation of the workers; the company continued to invest and provide quality health care at the Maternal Child Health (MCH) Centre. Mumias Sugar Foundation in collaboration with Ministry of Health conducted Tuberculosis (TB) screening for staff and their families in early December 2017.

The company through the Foundation held a Staff Free Eye clinic camp at the company's Medical Centre in collaboration with Eye Specialists from Mediheal Hospital in Eldoret where staff with eye sicknesses were diagnosed, treated and others referred for further treatment.

The company hopes that in the coming years it will be able to fund the Foundation so as to implement structured CSR programs and put into account community priorities and sustainable programs. This will ensure that key CSR sustainable development programs continue to ensure long term sustainability of the company's core mandates. Mumias Sugar Company also recognises that by managing and improving the social, environmental and economic impacts, it will be creating an opportunity to increase community confidence and satisfaction, prevent and reduce negative impacts on the environment while improving linkages with the community through efficient service delivery and effectiveness in the production process.

Human capital investment

The human capital remains one of the company's most important factors of production. Total staff establishment as at 30th June 2018 was 1,384 employees comprising 653 permanent staff and 731 contracted staff.

During the period under review a decision was made to review the organization's structure by collapsing the departments from 11 to 6. This was to ensure the organization maintains a lean, competitive and efficient model in accordance to our business operations. The company continues to experience a massive turnover of skills resulting from uncertainties surrounding the business, which is impacting negatively on our succession plan. Learning and development programs for staff took place to enhance their capabilities and ensure that they possess the required skills for effective performance. During the period, training and development focused on meeting statutory requirements. Plans to recruit apprentice and management trainees as part of the succession planning strategy did not take off.

The relationship between management, employees and union is harmonious with the usual consultation on Collective Bargaining Agreement (CBA) and welfare matters maintained. The 2013 - 2015 CBA has since

expired and the new CBA negotiations are expected to commence when the financial positions of the company improves. Discipline across the company also improved tremendously.

Litigation, dispute resolution and compliance with laws

The company operated the better part of the year without a Company Secretary greatly increasing the exposure to litigation risks. To manage legal exposures, the legal team focused on resolving cases through mediation and negotiation. The company complied with laws at County and National levels.

Risk, Audit and Compliance

The Section reviews the company operating processes and procedures to ascertain their effectiveness and ensures compliance with all rules, regulations and policy procedures, legal and statutory provisions. During the year the section revised its structure to enhance monitoring and evaluation of the company processes.

Information Communication and Technology

Information Communication Technology (ICT) functions is cross-cutting and addresses the connectivity, automation of business processes and security of company data. During the period under review, we continued to maintain the ICT infrastructure and services to support business operations.

In the coming period, priority will be on modernizing the ICT infrastructure and streamlining key services in field operations, and building internal technical capacity.

Safety, Health and Environment

The company has continued to lay strong emphasis on safety, health and environment matters. During 2017/2018 financial year, no workplace fatality occurred and overall employee Lost Time Injury Frequency Rate (LTIFR) per 100,000 man hours worked was 0.19 compared to 0.18 in 2016/2017 financial year. Road accidents involving company units dropped to 3 compared to 16 reported in 2016/2017 financial year. Similarly, fire incidents dropped to 5 compared to 8 reported in 2016/2017 financial year. Cane harvesters however reported 780 minor accidents during the period under review.

Appreciation

I wish to appreciate our shareholders, customers, service providers, the Central and County Governments and staff for their invaluable support and engagement exhibited in the year under review.



Isaac Sumba Sheunda
Ag. Chief Executive Officer

TAARIFA YA MKURUGENZI MKUU



Mr. Isaac Sumba Sheunda
Ag. Afisa Mkuu Mtendaji

Katika kipindi cha fedha cha mwaka wa 2018, MSC ilienda hasara ya shilingi bilioni 15.1 baada ya kutozwa kodi ikilinganishwa na hasara ya shilingi bilioni 6.8 mwaka uliotangulia, 2017 hali iliyosababishwa na upungufu wa uzalishaji wa bidhaa mwaka mzima, gharama ya ukarabati na mabadiliko ya ulipaji wa kodi.

Shughuli za Kilimo

Upatikanaji wa miwa ulikuwa changamoto kuu katika mwaka unaoishia Juni 30, 2018. Katika mwaka huu jumla ya tani 283,435.66 ziliwasilishwa kiwandani, hali iliyoshuhudia kushuka kwa 32% kuliko ilivyokuwa mwaka uliyotangulia na ambapo tani 417,347.14 ziliwasilishwa. Kati ya tani 285,435.66 zilizowasilishwa kiwandani, MSC Nucleus Estates waliwasilisha 26% huku wakulima wengine wakiwasilisha 74%. Wakulima walio na kandarasi na MSC waliwasilisha metriki tani 73,731.94 (35%) ilhali wakulima wa kibinafsi waliwasilisha metriki tani 136,571.66 (65%). Kiwango cha wastani cha uzalishaji kilibakia chini katika 29 TCH kwa wakulima na 47 TCH kwa miwa ya MSC Nucleus Estates. Uzalishaji huu wa chini ulitokana na hali kwamba mashamba mengi hayakuongezewa mbolea na kupaliliwa kama inayostahiki kutokana na uchache wa vifaa. Hali ya hewa ilikuwa bora kwa kilimo cha miwa. Maeneo ya miwa yalipokea mvua ya wastani ya milimita 2,098.6 dhidi ya kiwango cha wastani cha kawaida cha milimita 1,834.8. Hiki kilikuwa ni kiwango cha juu kwa 36% kuliko kiwango cha milimita 1,545.2 dhidi ya milimita 2,050.6 mwaka uliopita. Hata ustawi wa ukuzaji wa miwa ulikuwa wa chini kwa kuwa hekta 438.37 zilipandwa miwa ikilinganishwa na hekta 3,000 zilizotarajiwa kupandwa. Shamba lililopandwa miwa Nucleus Estates lilikuwa la hekta 292.42 huku hekta 145.95 zikipandwa na wakulima wengine. Uchache wa wafanyakazi uliathiri upanuzi, upandaji wa miwa, upaliliaji na uongezaji wa mbolea katika shamba la MSC Nucleus Estates. Ukuzaji wa miwa kwa wakulima wengine uliathiriwa na ucheleweshaji wa



malipo kwa wakulima na ambao hatimaye walisita kuingia kwenye kandarasi tena na MSC kukuza miwa kabla ya kulipwa pesa za wasilisho la miwa ya awali.

Kandarasi za wakulima

Juhudi nyingi zilielekezwa katika kuwashirikisha wakulima na washikadau wengine kuelewa changamoto zilizokabili MSC na juhudi zilizochukuliwa na kampuni kukabiliana na hali hiyo. Mikutano zaidi ilifanyika na kuwahusisha mameneja wakuu, hali iliyotoa nafasi kwa wakulima na viongozi wengine katika jamii kutoa tajiriba zao na maoni kukabiliana na hali hii.

Vituo vya ununuzi wa miwa vya Kisoko na Bumula vilifanya kazi bila kufunga, vilihudumia kanda za Magharibi, Busia na Kaskazini. Juhudi za kufanya kituo cha Navakholo kuhudumia Kanda ya Mashariki zinaendelea. Kuanzishwa kwa vituo hivi vya ununuzi wa miwa kunakusudiwa kupunguza gharama ya usafiri kwa wakulima, kupanua maeneo ya ukuzaji wa miwa na kuharakisha uwasilishaji wa miwa kiwandani kupitia mfumo wa High Payload Units (HPU's).

Shughuli za kiwandani

Kiwanda kilirejelea shughuli zake katikati mwa mwezi wa Oktoba, 2017 baada ya kufunga kwa kipindi cha miezi mitano kutokana na ukosefu wa miwa na kuendelea kufanya shughuli zake kufikia mwezi wa Machi 2018, hata hivyo kiwanda kilifunga tena kutokana na uhaba wa miwa. Hali ya kiwanda ilikuwa mbaya kwa kuwa ukarabati wa mashine na vifaa vinginevyo haukuwa ukifanyika. Hali hii iliathiri utendakazi wa kiwanda kitaaluma hali iliyodhihirishwa wazi kwa kuzingatia muda ambapo ubora wake ulikuwa wa kati ya 60% na 70%. Kiwango cha sukari kilichopatikana ni cha 13.2% dhidi ya kiwango cha 50% kilichotarajiwa.

Miwa yenye uzito wa tani 278,492 ilisagwa na kutoa sukari ya tani 14,622 za sukari. Kiwanda cha ethanol kilitoa ethanol ya lita 3,261,888 ikilinganishwa na lita 5,040,495 zilizotarajiwa kutolewa. Uuzaji wa umeme ulifikia megawati 3,581 ikilinganishwa na megawati 15,275 zilizotarajiwa. Megawati 13,615 zilinunuliwa kutoka National grid.

Hata hivyo miradi kadhaa ilianzishwa mkiwemo kuwekwa na kuanzishwa kwa BOSCH packaging machine. Boila mbili za lita 60 kila moja zilikaribiwa pia. Genereta mbili mpya za diseli zilizonuliwa mwaka wa 2016 pia zilipokelewa. Mkataba wa PPA na KPLC uliisha na mkataba mwingine haujatiwa saini. Ukisha kutiwa saini, uuzaji wa stima na MSC utanza kufanywa kwa kuzingatia malipo mapya

kulingana na mkataba mpya.

Shughuli za soko

Kulikuwa na upungufu wa sukari iliyotengenezwa hapa nchini mwaka wa 2018 kutokana na uhaba wa miwa. Sekta ya sukari hapa nchini huathiriwa zaidi na soko huru na uwekaji wa viwango vya uuzaji katika soko la kimataifa. Uuzaji wa sukari ulishuka na kufikia kiwango cha shilingi 66,979 kwa tani moja ikilinganishwa na bei ya shilingi 81,329 kwa tani moja iliyofikiwa mwaka uliotangulia, na hii ilisababishwa na ulundikaji wa sukari hapa Kenya kutoka mataifa ya nje.

Mauzo ya Ethanol

Mauzo ya pombe yalishuka kwa kiwango cha 41% na kufikia lita milioni 4,39 ikilinganishwa na lita milioni 7.43 zilizouzwa mwaka uliotangulia kutokana na viwango vya chini vya usagaji na kusimamishwa kwa mashine. Bei ya ethanol ilibakia kuwa dhabiti mwaka wa 2018 na kuuzwa kwa bei ya wastani ya shilingi 88 kwa Extra Neutral Alcohol na shilingi 55 kwa Technical Alcohol. MSC inachunguza uwasilishaji wa bagasi na molasi kwa kampuni ili kuimarisha utengenezaji wa ethanol kwa lengo la kuimarisha utengenezaji wake na kufikia mahitaji ya ENA katika kanda hili.

Masuala ya Kijamii na Uajibikaji

MSC inatambua mabadiliko ya kijamii katika mazingira ambamo inafanya kazi na huchukulia ushirikiano wake na jamii kama suala muhimu katika kuwezesha kampuni kutimiza malengo yake ya kuhakikisha kwamba kuna miwa ya kutosha na ustawi wa kilimo chake. Kuanzia mwaka wa 2013 Wakfu wa Mumias Sugar Foundation (MSF) umeendelea uajibaji wa MSC kuhusiana na masuala mbalimbali yanayoathiri jamii. Hata hivyo kutokana na uhaba wa fedha ulioshuhudiwa na kampuni mwaka uliopita, maeneo matano ambapo MSC hudhihirisha uajibikaji wake katika jamii hayakushughulikiwa. Maeneo hayo ni pamoja na Elimu, Afya, Miradi ya biashara ndogondogo, Mazingira na Usalama.

Licha ya kampuni kuwa na changamoto nyingi za kifedha, Wakfu wa Elimu Trust ulidhamini wanafunzi 13 werevu kutoka jamii ya wakulima wa miwa na watoto wa wafanyakazi wa MSC kujiunga na Shule ya Sekondari ya Booker Academy na kusoma kuanzia kidato cha kwanza hadi kidato cha nne. Kufikia hivi sasa Booker Academy ina jumla ya watoto 73 kuanzia kidato cha kwanza hadi kidato cha nne wanaosoma chini ya udhamini wa Wakfu wa Elimu Trust. Wamepewa basari.

Kuhusiana na afya ya wafanyakazi; kampuni imeendelea

kuwekeza na kutoa huduma safi na muhimu katika kituo chake cha Maternal Health Care (MCH). Fauka ya hayo, MSF kwa kushirikiana na Wizara ya Afya iliwapima na kuchunguza wafanyakazi na jamaa zao kama walikuwa wanaugua ugonjwa wa tuberculosis (TB) mwezi wa Disemba, 2017.

Aidha, mwaka wa 2018 MSC kupitia MSF iliandaa kliniki ya macho kwa wafanyakazi wake katika Medical Centre kwa kushirikiana na wataalamu wa macho kutoka Mediheal Hospital, Eldoret na ambapo wafanyakazi waliokuwa na shida ya macho walitambuliwa, kutibiwa na wengine kuelekezwa kwingine ili kutafuta matibabu zaidi.

Ni matumaini ya MSC kwamba, katika miaka ijayo itaweza kuidhamini MSF ili iweze kutekeleza miradi yote ya CSR na kuwajibikia zaidi masuala ya kijamii na pia kuwa na mikakati ya kudumu kama sehemu ya masuala muhimu ambayo MSC imeratibiwa kutekeleza. MSC inatambua pia kwamba kwa kushughulikia na kusimamia vyema masuala ya kijamii, kimazingira na kiuchumi, itakuwa inabuni nafasi ya kuongezea imani ya wanajamii kwayo na kutosheka, kuzuia na kupunguza athari mbaya kwa mazingira na wakati uo huo kuboresha mwingiliano wake na jamii ya karibu kupitia utoaji wa huduma safi na faafu ya mchakato wa utengenezaji wa bidhaa zake.

Wafanyakazi na Ukuzaji wa Taaluma

Wafanyakazi mbalimbali wanabakia kuwa kiungo muhimu zaidi katika mchakato wa utengenezaji wa bidhaa katika kampuni. Jumla ya wafanyakazi katika MSC ilikuwa 1,384 kufikia Juni 30, 2018. Idadi hii inajumuisha wafanyakazi 653 wa kudumu, wengine 731 walioajiriwa kwa kandarasi fupi na wengine 389 wanaotarajiwa kuodoka.

Katika kipindi kinachorejelewa uamuzi ulifikiwa kwamba kulikuwa na haja ya kuangazia wafanyakazi wa MSC upya kwa kupunguza idara zake kutoka 16 hadi 6. Hii ilitarajiwa kuhakikisha ya kwamba wafanyakazi waliosalia walikuwa ni wachache, wenye ujuzi na hodari katika utelekezaji wa shughuli za kibiashara za kampuni. MSC inaendelea kukabiliwa na tatizo la wafanyakazi wengi kuacha kazi kutokana na hali isiyotabirika ya kampuni, hali inayoathiri ukuzaji wa wafanyakazi kindani ambao wangeweza kuchukua usukani wa kuendesha kampuni hii katika siku zijazo. Warsha za kuwaelimisha na kuwakuza kitaaluma wafanyakazi wa MSC zilifanyika ili kukuza utendakazi na kuhakikisha ya kwamba wafanyakazi walikuwa na ujuzi faafu kwa utendakazi ulio stadi. Katika kipindi hiki mafunzo yaliegemea kuwapa wafanyakazi mahitaji ya kitaaluma ya kimsingi. Mpango wa kuwaajiri wanafunzi na mameneja wa kujifunza kama mkakati wa kupata wafanyakazi wenye ujuzi wa hapo baadaye haukutekelezwa.

Uhusiano baina ya usimamizi wa MSC na wafanyakazi, Chama cha Wafanyakazi ni mzuri na masuala ya kikazi (CBA) na maslahi mengine yanaendelea kujadiliwa. CBA ya 2013 – 2015 imepitwa na wakati na hivyo basi majadiliano ya CBA mpya yanatarajiwa kuanza wakati hali ya kifedha ya kampuni itakapomarika. Nidhamu miongoni mwa

wafanyakazi iliendelea kuimarika zaidi.

Mahakama, Utatuzi wa Mizozo na Uzingatiaji wa Sheria.

MSC ilifanya kazi kwa muda mrefu bila ya kuwa na Katibu wa Kampuni hali iliyohatarisha kampuni kuhusiana na masuala ya kisheria. Ili kushughulikia masuala ya kisheria kampuni ilihimimiza utumiaji wa mbinu ya mapatano na maridhiano. Kampuni ilitosheleza mahitaji ya kikatiba katika kiwango cha Kaunti na Kitaifa.

Ukaguzi wa Utoshelezaji kikatiba

Idara ya Ukaguzi na Utoshelezaji wa Kikatiba hukagua shughuli zote za kampuni katika michakato na utendakazi wake ili kuhakikisha ufaafu wa utendakazi wake na kuhakikisha pia ya kwamba kanuni zote, masharti na sera za utendaji, sheria na mahitaji ya kimsingi kikazi yamezingatiwa. Katika mwaka wa 2018, idara hii ilichunguza upya utendakazi wake ili kuboresha ukaguzi na tathmini ya shughuli za kampuni.

Teknolojia ya Habari na Mawasiliano(ICT)

Teknolojia ya habari na mawasiliano ni muhimu katika kila sehemu ya kampuni na kwa hivyo ni muhimu kuangazia suala la uganishaji, utelekezaji wa shughuli zote za kampuni kupitia teknolojia hii na pia kuhakikisha usalama wa data za kampuni. Katika mwaka wa 2018, MSC iliendelea kudumisha miundomsingi yake ya ICT na kunyoosha huduma muhimu nyanjani na kuwapa mafunzo zaidi wanataaluma wake wa ICT.

Usalama, Afya na Mazingira

MSC imeendelea kutilia msisitizo masuala ya usalama, afya na mazingira. Katika mwaka wa 2017/2018 hakukuwa na ajali iliyafanyika katika mazingira yake ya kazi. Kiwango cha Time Injury Frequency Rate (LTIFR) kwa kila saa 100,000 za utendaji kazi kilikuwa cha 0.19 kikilinganishwa na kiwango cha 0.18 kilichofikiwa mwaka uliotangulia. Ajali za vyombo vya kampuni zilishuka kufikia 3 zikilinganishwa na ajali 16 zilizotea mwaka uliotangulia. Vivyo hivyo nazo ajali za barabarani zilishuka na kufikia 5 mwaka wa 2016/2017 ikilinganishwa na ajali 8 zilizotokea mwaka uliotangulia. Hata hivyo wakataji wa miwa waliripoti visa 780 vya ajali ndogondogo mwaka 2017/2018.

Shukrani

Ningetaka kuwashukuru washikadau wote, wateja wetu waaminifu, watoaji wa huduma mbalimbali, Serikali ya Kenya wafanyikazi wenye talanta wa MSC kwa mchango wao mwema usiokadirika kupitia ushirikiano uliodhihirika mwaka uliotangulia.



Kaimu Mkurugenzi Mkuu.

Report of the Directors

For the year ended 30th June 2018

The directors submit their report together with the audited financial statements for the year ended 30th June 2018.

Incorporation

The company is domiciled in Kenya where it is incorporated as a public company limited by shares under the Kenyan Companies Act, 2015. The address of the registered office is set out on page 3.

Directorate

The directors who held office during the year and to the date of this report are set out on page 3.

Principal activities

The principal activities of the company are the production and sale of sugar and ethanol, and the generation and sale of electricity.

Recommended dividend

The directors do not recommend the declaration of a dividend for the year (2017: Nil).

Business review

During the year, the Company resumed milling operations in the month of October 2017 after a six months' factory shut down from April 2017 upon receipt of a KSh 500 million Government of Kenya bailout. Cane supply was sustained through to April 2018 when sugar production was suspended due to lack of adequate good quality cane to sustain profitable sugar plant runs.

From April 2018, the Company has been wholly relying on Ethanol sales to support day to day operations. However due to unavailability of good quality and economically priced molasses, the company had intermittent Ethanol runs with very low production volumes realized from April 2018 to June 2018. At current production efficiencies, the breakeven molasses price is KSh 10,000 a tonne which has proved challenging to get given the overall industry sugarcane and resulting molasses shortage.

Due to the above suboptimal operations, the business is currently cash strapped with heavy short-term maturing liabilities. As a result, critical suppliers have now denied the company services completely grounding operations with a threat of a full Company shutdown if the company does not receive financial bailout and agree on a long-term debt restructuring as requested in submissions to Treasury.

Principal risks and uncertainties facing the company

Inadequate Cane Supply - Due to previous under investment in cane development the acreage under cane has drastically dropped over the years. The company has

requested for financial assistance to engage in aggressive cane development to gradually correct this position.

Lack of adequate working capital - As a result of suboptimal factory operations weighed down by high gearing rates. In bailout requests the company has factored in monies to enable us promptly purchase and pay for cane through setting up of a cane purchase revolving fund. The company has also included a request to settle pressing key creditors that could adversely affect operations.

Going concern risk - As a result of heavy maturing liabilities both from lenders and suppliers. The Board plans to renegotiate all key liabilities with a view of getting extended repayment periods and favorable moratoriums to give the business time to generate cash and be back on its feet.

Loss of key management staff and skills - Due to the current challenges facing the Company, attraction and retention of top quality staff skills has not been achieved. The company hopes that this position will improve as the fortunes of the Company improve following implementation of the turnaround strategies.

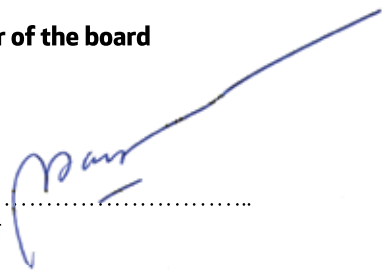
Statement as to disclosure to the company's auditor
With respect to each director at the time this report was approved:

- (a) there is, so far as the person is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) the person has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

Terms of appointment of the auditor

The directors approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees. The agreed auditor's remuneration of KSh 5,750,000 has been charged to profit or loss in the year.

By order of the board


.....
Director
Nairobi,
11 March, 2019

Directors' Remuneration Report

For the year ended 30th June 2018

Section 1- Not subject to audit

This report is made pursuant to the requirements of the Companies (General) (Amendment) (No2) Regulations, 2017.

a) Decisions on directors' remuneration

No decision made during the year ended 30th June 2018 affected directors' entitlements. Therefore there were no changes in the directors' remuneration during the year.

b) Company policy on directors' remuneration

The Company has not developed share based compensation schemes. Neither does it operate any incentive scheme for directors.

Company directors are entitled to basic annual fees and sitting allowance for each Board meeting and/or official Company function attended. In addition, at the expiry of the directors' term of service, they are entitled to a fixed gratuity.

The Chairman is paid a monthly allowance. Directors are entitled to Company transport when attending Board meetings or Company functions outside their regular areas of residence. A director who for any reason is forced to use his/her on private vehicle is entitled to mileage claim.

These are payable at the following rates:

Title	Monthly Allowance (KSh)	Director's Fees p.a. (KSh)	Allowance per Sitting (KSh)	Mileage Claim per KM (KSh)
Board Chairman	500,000	600,000	78,571	92
Committee Chairman	-	500,000	68,571	92
Director	-	500,000	57,143	92
National Treasury	-	500,000	-	-

c) General terms of service

Directors serve a 3-year term of service from the date they are elected into office. They are eligible for re-election for one second term of 3 years. A director that leaves service before expiry of his/her term is entitled to payment due up to and including the date of resigning. However, if terminated by a resolution of members, a director is entitled to payments due to date plus directors' fees payable till expiry of his/her current term.

Section 2- Information subject to audit

Directors' remuneration paid during the year

Director's Name	Fees and allowances as at 30th June 2018	Fees and allowances as at 30th June 2017
	KSh	KSh
Mr. D. Ameyo	-	4,807,139
Mrs. E. Kyengo	-	1,048,571
Mr. F. Kingori	57,143	2,057,148
Mr. J. Mathenge	769,062	2,271,427
Mr. J. Opindi	685,641	1,311,430
Mrs. J. Tabuke	5,252,390	2,557,148
Mr. J. K. Barorot	-	671,429
Dr. K. Ngumbau	9,742,678	5,714,287
Mrs. N. Kaminchia	2,884,086	2,100,004
Ms. Naomi Cidi	4,601,006	3,071,426
Mr. N. K. Orgut	2,618,711	754,287
Mrs. P. Adala	2,049,988	834,286
Mr. P. K. Ingosi	3,904,065	1,257,146
Mr. J. Maina	688,573	-
Mr. S. Were	1,778,577	-
Mr. A. Koech	2,232,863	-
Total	37,264,783	28,455,728

By order of the board

Director

Statement of Directors' Responsibilities

For the year ended 30th June 2018

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the company keeps proper accounting records that: (a) show and explain the transactions of the company; (b) disclose, with reasonable accuracy, the financial position of the company; and (c) enable the directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

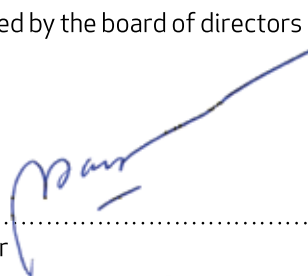
The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii) selecting suitable accounting policies and applying them consistently; and
- iii) making accounting estimates and judgements that are reasonable in the circumstances.

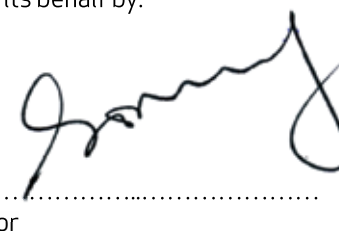
Having made an assessment of the company's ability to continue as a going concern, the directors believe that the going concern basis is appropriate in preparing the financial statements for the year ended 30th June 2018. The assessment is based on the continued support by the Government of Kenya and the lenders, and the successful achievement of the turnaround of the company operations as stated in Note 30.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 11 March, 2019 and signed on its behalf by:



.....
Director



.....
Director

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

Disclaimer of opinion

We were engaged to audit the financial statements of Mumias Sugar Company Limited (the "Company"), set out on pages 29 to 71, which comprise the balance sheet as at 30th June 2018, the statement of profit or loss account and other comprehensive income, the statements of changes in equity and cash flows for the year then ended, and notes, including a summary of significant accounting policies.

We do not express an opinion on the accompanying financial statements of the Company. Because of the significance of the matter described in the Basis for Disclaimer of Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for disclaimer of opinion

As noted in Note 30, the financial statements have been prepared on the assumption that the Company will be able to continue as a going concern. The company's current liabilities exceeded its current assets by KSh 21 billion at 30th June 2018 (2017: KSh 15.2 billion). During the year ended 30th June 2018, the company incurred a loss of KSh 15.1 billion (2017: KSh 6.8 billion). Moreover, as stated in Note 14, some of the lenders have issued demand letters requiring immediate payment of all sums outstanding.

Note 30 of the financial statements explains that the company's financial statements have been prepared on a going concern basis on the assumption that the shareholders and lenders will continue their support by providing adequate funding and that the turnaround strategy as approved by the board will be achieved. As stated in Note 30, these events or conditions indicate that a material uncertainty exists that casts significant doubt on the company's ability to continue as a going concern.

By the time of concluding the audit, we had not obtained sufficient appropriate evidence that any of the initiatives by the directors to obtain the financial support, that would enable the Company to meet its future obligations as they fall due, had been concluded. Consequently, we have been unable to form an opinion on whether the going concern basis is the appropriate basis for the preparation of these financial statements.

Further, the Company has a number of pending legal cases, both for and against the Company. While management has strived to maintain a record of such cases, we have been unable to verify the completeness of the records. In the absence of confirmations from the company's legal counsel as to the outstanding cases and any potential liabilities that could arise therefrom, and our inability to use alternative audit procedures, we could not satisfy ourselves as to the adequacy of the provisions and disclosures that have been made in the financial statements in respect to the liability that may arise from litigation or claims against the Company.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of the financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our responsibility is to conduct an audit of the Company's financial statements in accordance with International Standards on Auditing and issue an audit report. However, because of the matter described in the Basis of Disclaimer of Opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

Report on other matters prescribed by the Kenyan Companies Act, 2015

In our opinion,

- i) the information given in the report of the directors on pages 24 to 26 is consistent with the financial statements;
- ii) the auditable part of directors' remuneration report has been properly prepared in accordance with the Act.

Because of the significance of the matter described in the Basis for Disclaimer of Opinion section of our report we are unable to form an opinion whether the company has kept adequate accounting records.

**RSM Eastern Africa LLP**
Certified Public Accountants
Nairobi11 March, 2019
046/2019

The signing partner responsible for the independent audit was CPA Elvis Ogeto, Practising Certificate No. 2303.

Statement of Profit or Loss and Other Comprehensive Income

For the year ended 30th June 2018

	Note	2018 KSh'000	2017 KSh'000
Revenue	5	1,379,223	2,091,751
Cost of sales		(3,893,965)	(5,279,897)
Gross loss		(2,514,742)	(3,188,146)
Fair value gain on biological assets	21	17,967	97,137
Other (expense)/income		(29,874)	16,756
Marketing and distribution costs		(61,720)	(56,617)
Administrative expenses		(1,923,628)	(2,329,932)
Impairment of assets	6	(4,923,776)	(2,572,703)
Interest income	7 (a)	3,352	2,480
Finance costs	7 (b)	(679,541)	(1,500,153)
Loss before tax expense	8	(10,111,962)	(9,531,178)
Tax (expense)/income	9	(5,029,291)	2,757,244
Loss for the year attributable to the owners of the company		(15,141,253)	(6,773,934)
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Remeasurement of defined benefit obligations	16 (b)	(615)	(42,071)
Deferred tax relating to remeasurement of defined benefit obligations		185	12,621
Other comprehensive loss for the year, net of tax		(430)	(29,450)
Total comprehensive loss for the year attributable to the owners of the company		(15,141,683)	(6,803,384)
Earnings per share			
Loss per share - basic and diluted	10	KSh (9.90)	KSh (4.43)

Statement of Financial Position

For the year ended 30th June 2018

BALANCE SHEET AT 30TH JUNE 2018

EQUITY

	Note	2018 KSh'000	2017 KSh'000
Share capital	12	3,060,000	3,060,000
Revaluation surplus	13	5,732,301	6,464,988
Retained earnings		(23,177,404)	(8,768,408)
Total equity		(14,385,103)	756,580

Non-current liabilities

Borrowings	14	4,806,469	6,286,941
Deferred income tax	15	3,658,386	-
Provision for service gratuity	16 (a)	4,446	7,909
Deferred grant income	25	18,420	18,420
		8,487,721	6,313,270
		(5,897,382)	7,069,850

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Non-current assets

Property, plant and equipment	17	14,830,751	20,531,484
Intangible assets	18	7,426	119,647
Deferred income tax	15	-	1,366,556
Non-current staff receivables	19	23,618	36,159
Retirement benefit asset	16 (b)	245,572	176,958
		15,107,367	22,230,804

Current assets

Inventories	20	325,709	408,468
Growing produce	21	19,220	103,966
Trade and other receivables	22	107,838	1,194,017
Current tax recoverable		141,076	145,071
Cash at bank and in hand	23	34,399	8,769
		628,242	1,860,291

Current liabilities

Trade and other payables	24	13,269,042	11,174,555
Borrowings	14	7,789,541	5,330,062
Provision for service gratuity	16 (a)	139,150	81,307
Dividends payable	11 (b)	435,258	435,321
		21,632,991	17,021,245

Net current liabilities

		(21,004,749)	(15,160,954)
		(5,897,382)	7,069,850

The financial statements on pages 29 to 71 were authorised for issue by the board of directors on 11 March, 2019 and were signed on its behalf by:

Director

Director

Statement of Changes in Equity

For the year ended 30th June 2018

	Note	Share capital KSh'000	Revaluation surplus KSh'000	Retained earnings KSh'000	Total KSh'000
At 1st July 2016		3,060,000	6,845,313	(2,345,349)	7,559,964
Changes in equity in 2017					
Loss for the year		-	-	(6,773,934)	(6,773,934)
Other comprehensive loss for the year		-	-	(29,450)	(29,450)
Transfer of excess depreciation (net of deferred tax)		-	(380,325)	380,325	-
At 30th June 2017		3,060,000	6,464,988	(8,768,408)	756,580
At 1st July 2017		3,060,000	6,464,988	(8,768,408)	756,580
Changes in equity in 2018					
Loss for the year		-	-	(15,141,253)	(15,141,253)
Other comprehensive income for the year		-	-	(430)	(430)
Transfer of excess depreciation (net of deferred tax)		-	(732,687)	732,687	-
At 30th June 2018		3,060,000	5,732,301	(23,177,404)	(14,385,103)

Statement of Cash Flows

For the year ended 30th June 2018

	Note	2018 KSh'000	2017 KSh'000
Cash flows from operating activities			
Loss for the year		(15,141,253)	(6,773,934)
Adjustments for:			
Tax income	9	5,029,291	(2,757,244)
Gain on fair value of growing produce	21	(17,967)	(97,137)
Decrease of growing produce due to harvest	21	102,713	142,898
Bearer plants written off		17,700	-
Depreciation of property, plant and equipment	17	1,630,012	1,670,233
Write off of property, plant and equipment		1,632	-
Amortisation of intangible assets	18	8,367	10,398
Loss/(gain) on disposal of property, plant and equipment		47,469	(578)
Foreign exchange (gain)/loss on borrowings		(92,468)	68,450
Impairment of property, plant and equipment		4,051,592	2,336,904
Impairment of CWIP - intangible assets		103,854	-
Increase in provision for service gratuity	16	54,380	18,109
Increase in retirement benefit asset		(69,228)	(54,200)
Interest income		(3,352)	(2,480)
Interest expense		768,613	1,448,184
Operating loss before working capital changes		(3,508,645)	(3,990,397)
Increase/(decrease) in:			
Non-current receivables		12,541	(5,014)
Inventories		82,759	81,343
Trade and other receivables		1,086,179	(145,016)
Increase in:			
Trade and other payables		2,094,487	3,145,224
Cash used in operations		(232,679)	(913,860)
Interest received		3,352	2,480
Interest paid		(296,878)	(405,805)
Income tax paid		(168)	(16)
Net cash used in operating activities		(526,373)	(1,317,201)
Cash flows from investing activities			
Purchase of property, plant and equipment	17	(48,427)	(19,966)
Proceeds from disposal of property, plant and equipment		755	578
Net cash used in investing activities		(47,672)	(19,388)
Cash flows from financing activities			
Proceeds from long-term borrowings	14	512,435	839,244
Repayments of long-term borrowings	14	-	(4,466)
Dividends paid	11(b)	(63)	(4,376)
Net cash generated from financing activities		512,372	830,402
Net decrease in cash and cash equivalents		(61,673)	(506,187)
Cash and cash equivalents at start of year		(2,700,735)	(2,194,548)
Cash and cash equivalents at end of year	23	(2,762,408)	(2,700,735)

NOTES

For the year ended 30th June 2018

1. Summary of significant accounting policies

The significant accounting policies adopted in the preparation of these general purpose financial statements are set out below:

a) Basis of preparation

The financial statements are prepared on a going concern basis and in compliance with International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board. They are presented in Kenya Shillings, which is also the functional currency (see (c) below), rounded to the nearest thousand (KSh'000).

The financial statements comprise a statement of profit and loss and other comprehensive income, balance sheet (statement of financial position), statement of changes in equity, and statement of cash flows. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income comprises items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to the profit and loss account in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the company in their capacity as owners are recognised in the statement of changes in equity.

Measurement basis

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the company uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the company using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset/liability that market participants would take into account.

Fair values are categorised into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the company at the end of the reporting period during which the change occurred.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

b) New and revised standards

i) Adoption of new and revised standards

A number of amendments to standards became effective for the first time in the financial year beginning 1st July 2017 and have been adopted by the company. None of them has had an effect on the company's financial statements, except for amendments made to IAS 7 Statement of Cash Flows, which has resulted in enhanced disclosures concerning changes in liabilities arising from financing activities (included in Note 14).

ii) New and revised standards that have been issued but are not yet effective

The company has not applied any new and revised standards and interpretations that have been published but are not yet effective for the year beginning 1st July 2017 (see Note 31).

The Directors do not plan to apply any of them until they become effective. Based on their assessment of the potential impact of application of the above, they do not expect that there will be a significant impact on the company's financial statements, other than in respect of the application of IFRS 16 Leases in year ending 30th June 2020: this will require right-of-use assets and lease liabilities to be recognised in respect of most operating leases where the company is the lessee. The impact has not yet been quantified, but will result in an increase in non-current assets, an increase in non-current and current liabilities, and a reduction in retained earnings.

c) Translation of foreign currencies

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the company operates), which is Kenya Shillings.

Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date. Monetary assets and liabilities at the balance sheet date denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognised on a net basis in the profit and loss account in the year in which they arise.

d) Revenue recognition

Revenue represents the fair value of consideration received or receivable for the sale of goods and services in the course of the company's activities. It is recognised when it is probable that future economic benefits will flow to the company and the amount of revenue can be measured reliably. It is stated net of Value Added Tax, Excise duty, rebates and trade discounts. Cash discounts are included as part of finance costs.

Sale of goods are recognised upon the delivery of the product and customer acceptance, while sale of services are recognised upon performance of the service and customer acceptance based on the proportion of actual service rendered to the total services to be provided.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

e) Borrowing costs

Borrowing costs, net of any temporary investment income on those borrowings, that are attributable to acquisition, construction or production of a qualifying asset are capitalised as part of the asset. The net borrowing cost capitalised is either the actual borrowing cost incurred on the amount borrowed specifically to finance the asset; or in the case of general borrowings, the borrowing cost is determined using the overall weighted average cost of the borrowings on all outstanding borrowings during the year less any specific borrowings directly attributable to the asset and applying this rate to the borrowing attributable to the asset. Capitalisation of borrowing costs ceases when all activities necessary to prepare the qualifying asset for its intended use or sale are complete. All other borrowing costs are recognised in profit or loss in the year in which they are incurred.

f) Income tax

Income tax expense is the aggregate amount charged/(credited) in respect of current tax and deferred tax in determining the profit or loss for the year. Tax is recognised in the profit and loss account except when it relates to items recognised in other comprehensive income, in which case it is also recognised in other comprehensive income, or to items recognised directly in equity, in which case it is also recognised directly in equity.

Current tax

Current tax is the amount of income tax payable on the taxable profit for the year, and any adjustment to tax payable in respect of prior years, determined in accordance with the Kenyan Income Tax Act.

Deferred income tax

Deferred tax is determined for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the balance sheet date and expected to apply when the asset is recovered or the liability is settled.

The measurement of deferred tax assets and liabilities reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities. However, for investment property that is measured using the fair value model, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

Deferred tax liabilities are recognised for all taxable temporary differences except those arising on the initial recognition of an asset or liability, other than through a business combination, that at the time of the transaction affects neither the accounting nor taxable profit or loss.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised. Recognised and unrecognised deferred tax assets are reassessed at the end of each reporting period and, if appropriate, the recognised amount is adjusted to reflect the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

g) Share capital

Ordinary shares are recognised at par value and classified as 'share capital' in equity.

h) Dividends

Dividends on ordinary shares are recognised as a liability in the year in which they are declared.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

i) Provisions for liabilities

Provisions are recognised when the company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

j) Post-employment benefit obligations

Defined contribution

The company operates a defined contribution retirement benefits plan for its employees, the assets of which are held in a separate trustee administered scheme managed by an approved administrator. A defined contribution plan is a plan under which the company pays fixed contributions into a separate fund, and has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current or prior periods. The company's contributions are charged to the profit and loss account in the year to which they relate.

Defined benefit

The liability/asset recognised in the balance sheet in respect of the defined benefit scheme is the present value of the defined benefit obligations at the balance sheet date less the fair value of the plan assets. The defined obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates of high-quality corporate bonds that are denominated in the functional currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

The following components of defined benefit cost are included in profit or loss:

- The service cost of the defined benefit plan (comprising current service costs, past service costs (including curtailment gains or losses) and any gain or loss on settlement)
- The net interest on the net defined benefit liability/asset.

Remeasurements of the net defined benefit liability/asset are recognised in other comprehensive income, with no reclassification to profit or loss in a subsequent period. Remeasurements comprise actuarial gains/losses and the return on plan assets, excluding amounts included in net interest on the net defined benefit liability/asset.

The company and its employees also contribute to the National Social Security Fund (NSSF), a national defined contribution scheme. Contributions are determined by local statute and the company's contributions are charged to the profit and loss account in the year to which they relate.

k) Short term employee benefits

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an employment cost accrual. The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an employment cost accrual.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

l) Property, plant and equipment

All categories of property, plant and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system, that is an integral part of the related hardware is capitalised as part of the computer equipment. Freehold land, buildings and plant and machinery are subsequently carried at a revalued amount, based on valuations that are carried out every five years by external independent valuers, less accumulated depreciation and accumulated impairment losses. All other items of property, plant and equipment are subsequently carried at cost less accumulated depreciation and accumulated impairment losses.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that it will increase the future economic benefits associated with the item that will flow to the company over those originally assessed and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the profit and loss account in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the profit and loss account. Annually, the difference between the depreciation charge based on the revalued carrying amount of the asset charged to the profit and loss account and depreciation based on the asset's original cost is transferred from the revaluation surplus reserve to retained earnings.

Depreciation is calculated using the straight line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:

	Rate - %
Land development	2½
Buildings	2½ - 5
Factory plant and machinery	5 - 10
Heavy mobile machinery	12½ - 25
Motor vehicles	20 - 33⅓
Other equipment and fixtures	12½ - 33⅓

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item, is depreciated separately.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation surplus reserve relating to that asset are transferred to retained earnings.

m) Intangible assets

Software licence costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortisation and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the company are recognised as intangible assets. Amortisation is calculated using the straight line method to write down the cost of each licence or item of software to its residual value over its estimated useful life using an annual rate of 20%.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

n) Impairment of non-financial assets

Non-financial assets that are carried at amortised cost are reviewed at the end of each reporting period for any indication that an asset may be impaired. If any such indication exists, an impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

o) Inventories

Finished sugar, molasses, water and ethanol inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and the estimated costs necessary to make the sale.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of inventory write down where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

p) Biological assets

Biological assets (cane growing) consist of bearer plants (mature root system), growing produce (mature cane stem) and agricultural produce at the point of harvest.

The fair value of growing cane is determined based on the present value of expected net cash flows (level 3). The fair value of harvested cane is determined based on the prices of cane existing in the market less estimated point of sale costs (level 2).

Bearer plants are measured at cost and depreciated over the economic life of 48 months.

q) Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

r) Leases

Leases of property, plant and equipment including hire purchase contracts where the company assumes substantially all the risks and rewards incidental to ownership are classified as finance leases. Finance leases are recognised as a liability at the inception of the lease at the lower of the fair value of the leased assets and the present value of the minimum lease payments. The interest rate implicit in the lease is used as the discount factor in determining the present value. Each lease payment is allocated between the liability and finance cost using the interest rate implicit in the lease. The finance cost is charged to the profit and loss account in the year in which it is incurred. Property, plant and equipment acquired under finance leases are capitalised and depreciated over the estimated useful life of the asset.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

r) Leases (continued)

Company as a lessor

Leases of assets where a significant proportion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made/received under operating leases are charged/credited to the profit and loss account on a straight line basis over the lease period. Prepaid operating lease rentals are recognised as assets and are subsequently amortised over the lease period.

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

s) Cash and cash equivalents

Cash and cash equivalents include cash in hand and demand and term deposits, with maturities of three months or less from the date of acquisition, that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, net of bank overdrafts. In the balance sheet, bank overdrafts are included as borrowings under current liabilities.

t) Financial instruments

Classification

The company classifies its financial instruments into the following categories:

- i) Loans and receivables, which comprise non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, and excludes assets which the company intends to sell immediately or in the near term or those which the company upon initial recognition designates as at fair value through profit or loss or as available-for-sale financial assets.
- ii) Financial liabilities, which comprise all financial liabilities except financial liabilities at fair value through profit or loss.

Financial instruments held during the year were classified as follows:

- Demand and term deposits with banking institutions, non-current staff receivables and trade and other receivables were classified as 'loans and receivables'.
- Borrowings, dividends payable and trade and other liabilities were classified as financial liabilities.

Recognition and measurement

Financial assets:

All financial assets are recognised initially using the trade date accounting which is the date the company commits itself to the purchase or sale. All financial assets are recognised initially at the fair value of the consideration given plus the transaction cost.

Subsequently, loans and receivables are carried at amortised cost using the effective interest method.

NOTES (Cont'd)

For the year ended 30th June 2018

1. Summary of significant accounting policies (continued)

t) Financial instruments (continued)

Recognition and measurement (continued)

Financial assets: (continued)

Amortised cost is the amount at which the financial asset or liability is measured on initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount, and minus any reduction for impairment or uncollectibility.

The company assesses at each balance sheet whether there is objective evidence that a financial asset is impaired. If any such evidence exists, an impairment loss is recognised. Impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount. In the case of loans and receivables, the recoverable amount is the present value of the expected future cash flows, discounted using the asset's effective interest rate.

Financial liabilities:

All financial liabilities are recognised initially at the fair value of the consideration given less the transaction cost.

Subsequently, all financial liabilities are carried at amortised cost using the effective interest method.

Presentation

All financial assets are classified as non-current except those with maturities of less than 12 months from the balance sheet date, those which the directors have the express intention of holding for less than 12 months from the balance sheet date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

All financial liabilities are classified as non-current except those expected to be settled in the company's normal operating cycle, those payable or expected to be paid within 12 months of the balance sheet date and those which the company does not have an unconditional right to defer settlement for at least 12 months after the balance sheet date.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the investments have expired or the company has transferred substantially all risks and rewards of ownership.

Financial liabilities are derecognised only when the obligation specified in the contract is discharged or cancelled or expires.

Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet only when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

NOTES (Cont'd)

For the year ended 30th June 2018

2. Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the company, the directors make certain judgements and estimates that may affect the amounts recognised in the financial statements. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. However, actual results may differ from those estimates. The judgements and estimates are reviewed at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available, and any revisions to such judgements and estimates are recognised in the year in which the revision is made.

a) Significant judgements made in applying the company's accounting policies

The judgements made by the directors in the process of applying the company's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- i) Whether company's assets are impaired
- ii) The company's business activities together with factors likely to affect its future development, performance and financial position are set out in Note 30. In addition, Note 3 to the financial statements includes the company's objectives, policies and processes for managing its capital, its financial risk management objectives, and its exposures to credit risk and liquidity risk. The directors have conducted going concern assessment covering at least twelve months from the date of approval of these financial statements and have a reasonable expectation that the company will have adequate resources to continue in operational existence for the foreseeable future. For these reasons, the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

b) Key sources of estimation uncertainty

Key assumptions made about the future and other sources of estimation uncertainty that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year include:

i) *Impairment*

Estimates made in determining the impairment losses on receivables. Such estimates include the determination of the net realisable value or the recoverable amount of the asset. The movement on the impairment provision is set out in Note 22.

Where it is not possible to estimate the recoverable amount of an individual non financial asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs. The impairment loss recognised on property, plant and equipment and the assumptions made are set out in Note 17.

ii) *Retirement benefit obligations*

Assumptions made by the actuary in determining the present value of retirement benefit obligations. The carrying amount of the provision and the key assumptions made in estimating the provision are set out in Note 16.

iii) *Growing produce*

In determining the fair value of growing produce, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in Note 21.

NOTES (Cont'd)

For the year ended 30th June 2018

2. Significant judgements and key sources of estimation uncertainty (continued)

b) Key sources of estimation uncertainty (continued)

iv) *Contingent liabilities*

The company is exposed to various contingent liabilities in the normal course of business. Management evaluates the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are made in the financial statements only where, based on the management's evaluation, a reliable estimate of the obligation can be made.

3. Risk management objectives and policies

a) Financial risk management

The company's activities expose it to a variety of financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks.

The company's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on its financial performance. The key types of financial risks include:

- (i) Credit risk
- (ii) Market risk
- (iii) Liquidity risk

The company's financial risk management policies are designed to identify and analyse these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensure adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems. The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices.

The company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimize potential adverse effects of such risks on its financial performance within the options available in the Kenyan market by setting acceptable levels of risks. Financial risk management is carried out by senior management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

In addition, the company has an independent internal audit department which reports directly to the Board Risk Audit and Compliance Committee. This department is responsible for assessing the risks faced by the company on an ongoing basis, and evaluating and testing the design and effectiveness of its internal accounting and operational controls that address these risks. The company does not enter into or trade in financial instruments, including derivative financial instruments, for either hedging or speculative purposes.

i) **Credit risk**

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. The company is exposed to this risk in several areas including trade and other receivables, including advances to farmers, and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs.

NOTES (Cont'd)

For the year ended 30th June 2018

3. Risk management objectives and policies (Continued)

a) Financial risk management (continued)

i) Credit risk (continued)

The company gives advances to farmers in the form of farming inputs to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit.

The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories. The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favourable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting to burning of immature cane. Burning of immature cane reduces the quality of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out-grower system with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanised plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production, ethanol and water to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy, the management and implementation of which is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews.

Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

In measuring credit risk relating to trade receivables, the company therefore reflects three components: The 'probability of default' by the customer or counterparty on its contractual obligations; current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and the likely recovery ratio on the defaulted obligations.

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt or facing financial difficulties. In some cases where an unsecured customer is in arrears the whole amount is provided for.

The credit risk relating to bank balances is limited because the counter parties are banks with high credit ratings.

NOTES (Cont'd)

For the year ended 30th June 2018

3. Risk management objectives and policies (Continued)

a) Financial risk management (continued)

i) Credit risk (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements

The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the end of the reporting period, without taking account of any collateral held or other credit enhancements attached. For reported financial assets, this exposure is based on net carrying amounts as reported in the statement of financial position.

Collateral

The collateral held for sugar receivables include guarantees from reputable banks recommended by the company. Staff receivables mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables. No collateral is held for advances to farmers.

The credit risk exposures are classified in three categories:

Fully performing

The company classifies financial assets under this category for those exposures that are up to date and in line with contractual agreements.

Past due but not impaired

These relate to financial assets that have passed the contractual payment period but are expected to be recovered within reasonable timelines. These assets are not impaired and continue to be recovered with the active involvement of management.

Impaired

Impaired financial assets are those for which the company determines that there is objective evidence of impairment.

On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

NOTES (Cont'd)

For the year ended 30th June 2018

3. Risk management objectives and policies (Continued)

a) Financial risk management (continued)

i) Credit risk (continued)

Analysis of credit risk exposure

The company's largest customer accounted for 21% of its current year sales (2017: 11%).

The amount that best represents the company's maximum exposure to credit risk as at year end is made up as follows:

	Fully performing KSh'000	Past due but not impaired KSh'000	Impaired KSh'000	Total Sh'000
30th June 2018				
Trade receivables	23,975	-	-	23,975
Receivables from farmers	-	52,567	-	52,567
MOCO receivables	-	-	-	-
Other receivables	13,392	-	-	13,392
Advance payments to suppliers	-	-	-	-
Staff receivables	41,522	-	-	41,522
Cash at bank	34,399	-	-	34,399
Maximum exposure to credit risk	113,288	52,567	-	165,855
	Fully performing KSh'000	Past due but not impaired KSh'000	Impaired KSh'000	Total Sh'000
30th June 2017				
Trade receivables	106,927	-	-	106,927
Receivables from farmers	266,245	43,145	82,213	391,603
MOCO receivables	-	-	-	-
Other receivables	427,144	3,557	-	430,701
Advance payments to suppliers	241,921	-	-	241,921
Staff receivables	59,024	-	-	59,024
Cash at bank	8,769	-	-	8,769
Maximum exposure to credit risk	1,110,030	46,702	82,213	1,238,945

The ageing analysis of past due but not impaired trade receivables is:

	2018 KSh'000	2017 KSh'000
1-3 months	-	-
Above 3 months	52,567	46,702
	52,567	46,702

Impaired receivables are stated net of the provision held against them.

NOTES (Cont'd)

For the year ended 30th June 2018

3. Risk management objectives and policies (Continued)

a) Financial risk management (continued)

ii) Liquidity risk

This is the risk that the company will encounter difficulties in meeting its financial commitments from its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

Ultimate responsibility for liquidity risk management rests with the board of directors.

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. In addition, all major capital investments are funded by a mixture of equity and long term debt.

The following table analyses the company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the company may be required to pay. The tables include both interest and principal cash flows and exclude the impact of netting agreements.

	Less than 12 months KSh'000	Between 1-5 years KSh'000	Total KSh'000
30th June 2018			
Trade and other payables	4,376,315	-	4,376,315
Borrowings - bank	7,789,541	-	7,789,541
- others	-	4,806,469	4,806,469
	12,165,856	4,806,469	16,972,325
30th June 2017			
Trade and other payables	10,201,412	-	10,201,412
Payables to outgrowers	973,143	-	973,143
Borrowings - bank	5,330,062	-	5,330,062
- others	-	6,286,941	6,286,941
	16,504,617	6,286,941	22,791,558

iii) Market risk management

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market price and comprises three types of risks: currency risk, interest rate risk and other price risk.

NOTES (Cont'd)

For the year ended 30th June 2018

3. Risk management objectives and policies (Continued)

a) Financial risk management (continued)

iii) Market risk management (continued)

Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents and farmer balances. The company's management monitors the sensitivity of reported interest rate movements on a regular basis by assessing the expected changes in the different portfolios. The change in legislation on bank interest rates has led to a decrease in prevailing interest rate and hence management does not foresee significant volatility in interest rates.

Management considers a change of three percentage points in the year ending 30th June 2019 is reasonably possible. If the interest rate on the company's borrowings at year end were to increase/decrease by this number of percentage points, with all other factors remaining constant, this would have resulted in a increase/decrease in post-tax loss of KSh 25,975,843 (2017: KSh 21,228,830). The interest rate on the PROPARCO loan is fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

Currency risk

Currency risk arises on financial instruments denominated in foreign currency. The company has trade receivables, trade payables and borrowings that are denominated in foreign currency.

The significant exposure in respect of each currency is as follows:

	US\$ KSh'000	GBP KSh'000	Euro KSh'000	SAR KSh'000	Total KSh'000
Year ended 30th June 2018					
Trade receivables	-	53,870	-	143,555	197,425
Trade payables	(66,224)	-	(47,647)	-	(113,871)
Borrowings	(3,604,771)	-	-	-	(3,604,771)
Net exposure	(3,670,995)	53,870	(47,647)	143,555	(3,521,217)
Year ended 30th June 2017					
Trade receivables	-	9,951	-	88,982	98,933
Trade payables	(68,983)	-	(24,772)	-	(93,755)
Borrowings	(3,353,142)	-	-	-	(3,353,142)
Net exposure	(3,422,125)	9,951	(24,772)	88,982	(3,347,964)

Management considers that an appreciation or depreciation of the United States Dollar, the Sterling Pound, the South African Rand and the Euro against the Kenya Shilling of 10% in the year ending 30th June 2019 are both reasonably possible. If the United States Dollar, the Sterling Pound, the South African Rand and the Euro were to appreciate/depreciate against the Kenya Shilling by the said percentage, with all other factors remaining constant, the post tax loss would be higher/lower by KSh 352,121,700 (2017: KSh 335,831,990).

NOTES (Cont'd)

For the year ended 30th June 2018

3. Risk management objectives and policies (Continued)

b) Capital management

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

The capital structure of the company consists of debt, which includes the borrowings less cash and cash equivalents and equity attributable to equity holders, comprising issued capital, revaluation surplus and retained earnings.

The board of directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risk associated with each class of capital. Based on the review, the board considers and analyses and assesses the gearing ratio to determine the appropriate levels. This ratio is calculated as net debt divided by equity. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

	2018 KSh'000	2017 KSh'000
The gearing ratio at the year-end was as follows:		
Total borrowings	12,596,010	11,617,003
Less: cash and cash equivalents	34,399	8,769
Net debt	12,561,611	11,608,234
Total equity	(14,385,103)	756,580
Total capital resources	(1,823,492)	12,364,814
Gearing	N/a	93.88%

4. Segmental information

a) Products and services from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Chief Executive Officer) for the purposes of resource allocation and assessment of segment performance is focused on the principal activities of the company.

The company identifies its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar and molasses.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to Kenya Power.
- Ethanol segment which primarily produces and sells ethanol.
- Water segment which primarily produces and sells bottled drinking water.

NOTES (Cont'd)

For the year ended 30th June 2018

4. Segmental information (continued)

b) Segment revenues and results, assets and liabilities

Year ended 30th June 2018	Sugar KSh'000	Energy KSh'000	Ethanol KSh'000	Water KSh'000	Total KSh'000
Revenue from customers	988,803	-	390,420	-	1,379,223
Inter-segment sales	85,389	12,894	-	-	98,283
	1,074,192	12,894	390,420	-	1,477,506
Cost of sales	(1,648,867)	(303,936)	(268,599)	(23,338)	(2,244,740)
Factory engineering	(893,762)	-	-	-	(893,762)
Production overheads	(732,984)	-	(22,479)	-	(755,463)
Inter-segment purchases	-	-	(98,283)	-	(98,283)
	(3,275,613)	(303,936)	(389,361)	(23,338)	(3,992,248)
Fair value changes on biological assets	17,967	-	-	-	17,967
Loss before tax	(8,730,939)	(431,936)	(932,971)	(16,116)	(10,111,962)
Finance costs	(946,192)	(162,429)	429,080	-	(679,541)
Interest income	3,352	-	-	-	3,352
Depreciation and amortisation	(1,089,428)	(264,569)	(261,044)	(23,338)	(1,638,379)
Segment EBITDA	(6,691,967)	(4,938)	(1,101,007)	7,222	(7,790,690)
Segment assets	12,553,329	3,067,338	3,770,647	2,681	15,735,609
Segment liabilities	23,093,031	1,660,314	1,708,981	-	30,120,712

NOTES (Cont'd)

For the year ended 30th June 2018

4. Segmental information (continued)

b) Segment revenues and results, assets and liabilities (continued)

Year ended 30th June 2017	Sugar KSh'000	Energy KSh'000	Ethanol KSh'000	Water KSh'000	Total KSh'000
Revenue from customers	1,297,346	-	794,029	376	2,091,751
Inter-segment sales	124,060	18,458	-	-	142,518
	1,421,406	18,458	794,029	376	2,234,269
Cost of sales	(2,348,143)	(540,417)	(295,110)	(24,710)	(3,208,380)
Factory engineering	(1,138,962)	-	-	-	(1,138,962)
Production overheads	(878,108)	-	(48,155)	-	(926,263)
Change in value of product inventories	54,196	-	(58,944)	(1,544)	(6,292)
Inter-segment purchases	-	-	(142,518)	-	(142,518)
	(4,311,017)	(540,417)	(544,727)	(26,254)	(5,422,415)
Fair value changes on biological assets	97,137	-	-	-	97,137
Loss before tax	(8,699,971)	(662,098)	(150,453)	(18,656)	(9,531,178)
Finance costs	(926,562)	(161,674)	(411,917)	-	(1,500,153)
Interest income	2,480	-	-	-	2,480
Depreciation and amortisation	(1,121,691)	(275,685)	(258,545)	(24,710)	(1,680,631)
Segment EBITDA	(6,649,238)	(224,739)	520,009	6,054	(6,347,914)
Segment assets	15,582,893	4,024,805	4,349,653	133,744	24,091,095
Segment liabilities	19,965,220	1,660,314	1,708,981	-	23,334,515

NOTES (Cont'd)

For the year ended 30th June 2018

4. Segmental information (continued)

- c) Revenue reported above represents revenue generated from external customers, except for the inter-segment sales.

Segment liabilities represent long term loans and current liabilities only.

Information on major customers

Included in revenue arising from sales of sugar of KSh1 billion (2017: KSh1.3 billion), is revenue of approximately KSh 208 million (2017: KSh 165 million) which arose from sales to the company's largest customer.

d) Other information

The accounting policies for the reportable segments are the same as the company's accounting policies described in Note 1.

All the assets of the company are located in Kenya.

5. Revenue	2018 KSh'000	2017 KSh'000
Sugar sales	988,795	1,297,346
Molasses sales	8	-
Ethanol sales	390,420	794,029
Water sales	-	376
	1,379,223	2,091,751
Gross sales	2,328,450	3,340,527
Less: Value Added Tax	(307,005)	(441,741)
Sugar Development Levy	-	(2,969)
Excise Duty	(642,222)	(804,066)
Net sales	1,379,223	2,091,751
6. Impairment of assets		
Impairment of receivables	731,009	197,236
Write down of inventories	37,321	38,563
Impairment of property, plant and equipment	4,051,592	2,336,904
Impairment of CWIP - intangible assets	103,854	-
	4,923,776	2,572,703
7. Finance costs and income		
a) Interest income:		
On deposits with financial institutions	2,204	139
On staff loans	1,148	2,341
	3,352	2,480

NOTES (Cont'd)

For the year ended 30th June 2018

7. Finance costs and income (Continued)

a) Interest income (continued):

The interest income on farmers' balances relates to the interest that the company charges farmers in relation to credit advanced for farm inputs. The company recovers these amounts from the amounts payable to farmers on harvested cane.

(b) Finance Costs	2018 KSh'000	2017 KSh'000
Interest expense:		
On loans	471,817	1,079,122
On bank overdrafts	296,796	369,062
Total interest expense	768,613	1,448,184
Net foreign exchange (gain)/loss on borrowings	(89,072)	51,969
	679,541	1,500,153

8. Loss before tax income

(a) Items charged

The following items have been charged in arriving at loss before tax income:

Inventories expensed	3,893,965	5,279,897
Employee benefits expense (Note 8(b))	1,245,966	1,782,682
Operating lease rentals expense	1,534	33,658
Depreciation of property, plant and equipment	1,630,012	1,670,233
Amortisation of intangible assets	8,367	10,398

(b) Employee benefits expense

The following items are included in employee benefits expense:

Wages and salaries	1,181,257	1,705,729
Retirement benefit costs:		
- Defined benefit scheme	38,854	46,868
- Defined contribution scheme	22,594	26,417
- National Social Security Fund	3,261	3,668
	1,245,966	1,782,682

The average number of persons employed during the year, by category, were:

Production	989	1,171
Sales and distribution	15	16
Management and administration	294	298
Total	1,298	1,485

NOTES (Cont'd)

For the year ended 30th June 2018

9. Tax expense/(income)	2018 KSh'000	2017 KSh'000
Current income tax	4,164	5,348
Deferred tax credit (Note 15)	5,025,127	(2,762,592)
Tax expense/(income)	5,029,291	(2,757,244)
The tax on the company's loss before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:		
Loss before income tax	(10,111,962)	(9,531,178)
Tax calculated at the statutory tax rate of 30%	(3,033,589)	(2,859,353)
Tax effect of:		
Expenses not deductible for tax purposes	295,948	198,224
Prior year under/(over) provision in deferred tax	7,363	(279,438)
Deferred tax on tax losses not recognised	7,759,569	183,323
Tax expense/(income)	5,029,291	(2,757,244)

10. Loss per share - basic and diluted

Loss per share is calculated by dividing the loss for the year attributable to shareholders by the number of ordinary shares in issue during the year.

	2018 KSh'000	2017 KSh'000
Loss for the year (KSh'000)	(15,141,253)	(6,773,934)
Number of ordinary shares (thousands) - Note 12	1,530,000	1,530,000
Loss per share - Basic and diluted (KSh)	(9.90)	(4.43)

There were no potentially dilutive shares outstanding at either 30 June 2018 or 30 June 2017.

11. Dividends

(a) Dividends per share

The directors do not recommend the payment of a dividend for the year (2017: Nil).

(b) Dividends payable

The movement in the dividends payable account is as follows:

	2018 KSh'000	2017 KSh'000
At the beginning of year	435,321	439,697
Dividends paid	(63)	(4,376)
At the end of year	435,258	435,321

NOTES (Cont'd)

For the year ended 30th June 2018

12. Share capital

	No. of ordinary shares	Issued and fully paid up capital KSh'000
At 30th June 2018	1,530,000,000	3,060,000
At 30th June 2017	1,530,000,000	3,060,000

The total number of authorised ordinary shares is 2,500,000,000 (2017: 2,500,000,000) with a par value of KSh 2 each. Issued and fully paid ordinary shares, which have a par value of KSh 2, carry one vote per share and carry a right to dividend.

13. Revaluation surplus

The revaluation surplus arises on the revaluation of freehold land and buildings and machinery and is stated net of deferred income tax. The surplus is not distributable. The movement during the year is as follows:

	2018 KSh'000	2017 KSh'000
At 1st July	6,464,988	6,845,313
Transfer of excess depreciation on revaluation (net of deferred tax)	(732,687)	(380,325)
At 30th June	5,732,301	6,464,988

14. Borrowings

The borrowings are analysed as follows:

Non-current

Other borrowings	4,806,469	6,286,941
	4,806,469	6,286,941

Current

Bank overdraft (Note 23)	2,796,807	2,709,504
Bank loans	4,992,734	2,620,558
	7,789,541	5,330,062
Total borrowings	12,596,010	11,617,003

Reconciliation of liabilities arising from financing activities:

At start of year	8,907,499	6,961,892
Interest charged to profit or loss	471,737	1,042,379
Borrowing costs capitalised during the year		
Foreign exchange (gain)/loss	(92,468)	68,450
Cash flows:		
Proceeds from long-term borrowings	512,435	839,244
Repayments of long-term borrowings	-	(4,466)
At end of year	9,799,203	8,907,499

NOTES (Cont'd)

For the year ended 30th June 2018

14. Borrowings (Continued)

Analysis of borrowings by currency At 30 June 2018	Borrowings in US\$ KSh'000	Shillings Equivalent KSh'000	Borrowings in Shs KSh'000	Total Borrowings Ksh'000
PROPARCO	19,410,770	1,961,458	-	1,961,458
Commercial Bank of Africa Limited	-	-	401,393	401,393
Ecobank Kenya Limited	12,445,236	1,270,063	814,289	2,084,352
Kenya Commercial Bank Limited	-	-	545,531	545,531
Kenya Sugar Board	-	-	1,681,808	1,681,808
The National Treasury	-	-	3,124,661	3,124,661
	31,856,006	3,231,521	6,567,682	9,799,203
Bank overdrafts	3,693,304	373,250	2,423,557	2,796,807
	35,549,310	3,604,771	8,991,239	12,596,010
Analysis of borrowings by currency At 30 June 2017	Borrowings in US\$ KSh'000	Shillings Equivalent KSh'000	Borrowings in Shs KSh'000	Total Borrowings Ksh'000
PROPARCO	17,823,049	1,848,459	-	1,848,459
Commercial Bank of Africa Limited	-	-	364,551	364,551
Ecobank Kenya Limited	10,967,106	1,137,417	638,439	1,775,856
Kenya Commercial Bank Limited	-	-	480,151	480,151
Kenya Sugar Board	-	-	1,601,322	1,601,322
The National Treasury	-	-	2,837,160	2,837,160
	28,790,155	2,985,876	5,921,623	8,907,499
Bank overdrafts	3,541,222	367,266	2,342,238	2,709,504
	32,331,377	3,353,142	8,263,861	11,617,003

The borrowings are secured by:

- * The loan from PROPARCO is secured with a fixed charge over the assets of the co-generation plant.
- * The term loans from Ecobank Kenya Limited and its consortium partners are secured by a pari passu first ranking specific debenture in favour of consortium lenders over the ethanol plant, ethanol receivables and ethanol inventory up to USD 20 million.
- * The bank overdraft facility and term loan from Kenya Commercial Bank Limited are secured by:
 - Debenture for KSh 2,470,000,000 over the company assets ranking pari passu with Barclays Bank of Kenya Limited and Stanbic Bank Limited; and
 - Legal charge for KSh 2,435,600,000 over industrial/agricultural L.R. No. Mumias Scheme/2 located at Mumias Sub County ranking pari passu with Barclays Bank of Kenya Limited and Stanbic Bank Limited.

The banking facilities consist of bank overdrafts, guarantees and letters of credit. The banking facilities are secured by legal charges over L.R. Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets shared out on a pari passu basis by Kenya Commercial Bank Limited, and Stanbic Bank Limited, with Barclays Bank of Kenya Limited.

During the year, the company received KSh 500,000,000 (2017: KSh 839,244,000) from the Government of Kenya as part of the liquidity support to the company. The terms of the funds received are still under negotiations, and have been presented as non-current borrowings as at 30th June 2018.

The company is in default on principal and loan repayments on the loan facilities. With the exception of Kenya Sugar Board and The National Treasury, all the other lenders have issued demand letters requiring immediate payment of all sums outstanding. The company, together with anchor shareholder, the Government of Kenya, have initiated a structured process to discuss with the lenders with a view to restructuring the debt liabilities (Note 30).

NOTES (Cont'd)

For the year ended 30th June 2018

15. Deferred income tax

Deferred income tax is calculated using the enacted tax rate of 30% (2017: 30%).

Deferred tax assets and liabilities, and the deferred tax charge/(credit) in the profit and loss account and in other comprehensive income are attributable to the following items:

		2018 KSh'000	2017 KSh'000
At start of year		(1,366,556)	1,408,657
Credit to profit and loss		5,025,127	(2,762,592)
Credit to other comprehensive income		(185)	(12,621)
At the end of the year		3,658,386	(1,366,556)

Year ended 30th June 2018	At 1st July 2017 KSh'000	(Credited)/ charged to profit or loss KSh'000	(Credited)/ charged to other comprehensive income KSh'000	At 30th June 2018 KSh'000
Deferred income tax liabilities				
Property, plant and equipment				
on historical cost basis	3,402,791	770,335	-	4,173,126
on revaluation surplus	2,057,199	(2,421,870)	-	(364,671)
Unrealised exchange gains	81,482	74,095	-	155,577
Defined benefits obligation	53,087	20,769	(185)	73,671
	5,594,559	(1,556,671)	(185)	4,037,703
Deferred income tax assets				
Provision for service gratuity	(21,332)	(21,747)	-	(43,079)
Provision for staff leave pay	(10,620)	4,503	-	(6,117)
Provision for legal fees	(29,622)	(21,212)	-	(50,834)
Fair value adjustments - biological assets	20,940	(15,174)	-	5,766
General provision for impairment of receivables	(29,486)	(219,302)	-	(248,788)
General provision for writedown of inventories	(25,069)	(11,196)	-	(36,265)
Tax losses	(6,865,926)	6,865,926	-	-
	(6,961,115)	6,581,798	-	(379,317)
Net deferred tax asset	(1,366,556)	5,025,127	(185)	3,658,386

NOTES (Cont'd)

For the year ended 30th June 2018

15. Deferred income tax (Continued)

Year ended 30th June 2017	At 1st July 2016 KSh'000	(Credited)/ charged to profit or loss KSh'000	(Credited)/ charged to other comprehensive income KSh'000	At 30th June 2017 KSh'000
Deferred income tax liabilities				
Property, plant and equipment				
on historical cost basis	3,751,763	(348,972)	-	3,402,791
on revaluation surplus	2,841,918	(784,719)	-	2,057,199
Unrealized exchange gains	191,094	(109,612)	-	81,482
Defined benefit obligation	49,448	16,260	(12,621)	53,087
	6,834,223	(1,227,043)	(12,621)	5,594,559
Deferred income tax assets				
Provision for service gratuity	(21,332)	-	-	(21,332)
Provision for staff leave pay	(10,620)	-	-	(10,620)
Provision for legal fees	(35,761)	6,139	-	(29,622)
Fair value adjustments - biological assets	44,918	(23,978)	-	20,940
General provision for impairment of receivables	(58,506)	29,020	-	(29,486)
General provision for writedown of inventories	(24,161)	(908)	-	(25,069)
Tax losses	(5,320,104)	(1,545,822)	-	(6,865,926)
	(5,425,566)	(1,535,549)	-	(6,961,115)
Net deferred tax liability/(asset)	1,408,657	(2,762,592)	(12,621)	(1,366,556)

Under the Kenyan Income Tax Act, tax losses are allowable as a deduction only in the nine years succeeding the year in which they occurred. The tax losses of KSh 25,254,154,692 carried forward will expire as follows:

Arising in:	Tax losses KSh'000	Expiring:
2012	6,257,348	30th June 2021
2013	1,122,053	30th June 2022
2014	2,388,567	30th June 2023
2015	4,483,100	30th June 2024
2016	3,497,271	30th June 2025
2017	5,152,740	30th June 2026
2018	2,353,076	30th June 2027
Tax losses carried forward	25,254,155	

The tax losses of KSh 611,074,757 arising in the period prior to 2010 expired on 30th June 2014 and the deferred tax asset arising from this has been derecognized.

Deferred tax asset of KSh 6,865,926,000 arising from accumulated tax losses has not been recognised since there are uncertainties that sufficient taxable profits will be available in the foreseeable future against which the unused tax losses can be utilised.



NOTES (Cont'd)

For the year ended 30th June 2018

16. Retirement benefits obligations (Continued)

(b) Staff Retirement Defined Benefit Scheme (continued)

For each of the above significant actuarial assumptions, a sensitivity analysis has been determined based on reasonably possible changes of the assumption occurring at the end of the reporting period, while holding all other assumptions constant:

- If the discount rate is 1% higher (lower), the defined benefit obligation would increase by KSh 977,320,000 (decrease by KSh 1,043,231,000).
- If the expected rate of salary growth increases (decreases) by 1%, the defined benefit obligation would increase by KSh 1,010,590,000 (decrease by KSh 1,004,884,000).

The amount recognised in comprehensive income in respect of this defined benefit plan are as follows:

	2018 KSh'000	2017 KSh'000
Service cost:		
Current service cost	31,577	35,605
Net interest (credit)	(49,981)	(47,436)
Prior years asset values adjustment	(12,189)	4,416
Component of defined benefit costs recognised in profit or loss (Note 8(b))	(30,593)	(7,415)
Actuarial (gain)/loss obligation on remeasurement	(106,007)	7,023
Return on plan assets (excluding amounts in interest cost)	106,622	35,048
Total loss recognised in other comprehensive income	615	42,071
Total	(29,978)	34,656
The net defined benefit asset in the balance sheet comprises:		
Present value of the defined benefit obligation	1,525,831	1,580,338
Fair value of scheme assets	(2,016,975)	(1,934,255)
Effect of asset ceiling	245,572	176,959
Defined benefit asset	(245,572)	(176,958)
The movement in the defined benefit obligation over the year is:		
Opening defined benefit obligation	1,580,338	1,492,342
Current service cost (net of employee contributions)	31,577	35,605
Employee contributions	18,469	22,094
Interest costs	203,419	205,035
Actuarial (gain)/loss	(106,007)	7,023
Benefits paid	(201,965)	(181,761)
Closing defined benefit obligation	1,525,831	1,580,338

NOTES (Cont'd)

For the year ended 30th June 2018

16. Retirement benefits obligations (Continued)

(b) Staff Retirement Defined Benefit Scheme (continued)

The movement in the fair value of the plan assets is as follows:

	2018 KSh'000	2017 KSh'000
Opening fair value of plan assets	1,934,255	1,822,102
Return on plan assets	215,392	229,501
Employee contributions	18,469	22,094
Employer contributions	38,635	46,735
Benefits paid	(201,965)	(181,761)
Prior year adjustments	12,189	(4,416)
Closing fair value of plan assets	2,016,975	1,934,255

The fair value of plan assets comprises:

	2018 KSh'000	2017 KSh'000	2018 %	2017 %
Cash and cash equivalents	85,405	22,930	4.23	1.19
Equity instruments	494,114	520,800	24.50	26.93
Government securities	899,519	893,783	44.60	46.21
Corporate bonds	43,295	103,057	2.15	5.32
Property	71,500	71,500	3.54	3.70
Offshore investments	115,311	106,459	5.72	5.50
Other investments	307,831	215,726	15.26	11.15
	2,016,975	1,934,255	100.00	100.00

The expected contributions to the scheme during the year ending 30th June 2019 are KSh 49,769,480.

The weighted average duration of the defined benefit obligation at 30th June 2018 is 10.8 years (2017: 9.7 years).

NOTES (Cont'd)

For the year ended 30th June 2018

17. Property, plant and equipment

	Freehold Land Shs'000	Leasehold Land and Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in- progress Shs'000	Bearer plant Shs'000	Bearer plant Capital work-in- progress Shs'000	Total Shs'000
At 1st July 2016											
Cost or valuation	106,678	4,832,796	3,445,439	16,059,609	437,437	350,287	973,432	736,147	296,679	5,646	27,244,150
Accumulated depreciation and impairment	-	(102,080)	(108,896)	(909,662)	(37,219)	(336,765)	(825,945)	(193,558)	(211,370)	-	(2,725,495)
Net carrying amount	106,678	4,730,716	3,336,543	15,149,947	400,218	13,522	147,487	542,589	85,309	5,646	24,518,655
Year ended 30th June 2017											
Opening carrying amount	106,678	4,730,716	3,336,543	15,149,947	400,218	13,522	147,487	542,589	85,309	5,646	24,518,655
Additions	-	-	-	22,043	-	-	2,407	3,548	(31,944)	23,912	19,966
Transfers from capital work in progress	-	-	-	-	-	-	-	-	28,206	(28,206)	-
Impairment loss	-	-	-	(2,336,904)	-	-	-	-	-	-	(2,336,904)
Depreciation charge	-	(142,933)	(203,170)	(1,125,751)	(115,398)	(8,004)	(43,246)	-	(31,731)	-	(1,670,233)
Closing carrying amount	106,678	4,587,783	3,133,373	11,709,335	284,820	5,518	106,648	546,137	49,840	1,352	20,531,484
At 30th June 2017											
Cost or valuation	106,678	4,832,796	3,445,439	16,081,652	437,437	350,287	975,839	739,695	292,941	1,352	27,264,116
Accumulated depreciation and impairment	-	(245,013)	(312,066)	(4,372,317)	(152,617)	(344,769)	(869,191)	(193,558)	(243,101)	-	(6,732,632)
Net carrying amount	106,678	4,587,783	3,133,373	11,709,335	284,820	5,518	106,648	546,137	49,840	1,352	20,531,484
Year ended 30th June 2018											
Opening carrying amount	106,678	4,587,783	3,133,373	11,709,335	284,820	5,518	106,648	546,137	49,840	1,352	20,531,484
Additions	-	-	336	35,489	-	-	1,181	-	-	11,421	48,427
Disposals	-	-	-	(48,224)	-	-	-	-	(17,700)	-	(65,924)
Transfers from capital work in progress	-	-	(336)	(171)	-	-	-	507	5,064	(5,064)	-
Write off	-	-	-	(1,632)	-	-	-	-	-	-	(1,632)
Impairment loss	-	-	-	(4,051,592)	-	-	-	-	-	-	(4,051,592)
Depreciation charge	-	(142,933)	(203,170)	(1,104,866)	(115,398)	(4,570)	(40,072)	-	(19,003)	-	(1,630,012)
Closing carrying amount	106,678	4,444,850	2,930,203	6,538,339	169,422	948	67,757	546,644	18,201	7,709	14,830,751
At 30th June 2018											
Cost or valuation	106,678	4,832,796	3,445,439	16,067,114	437,437	350,287	977,020	740,202	280,305	7,709	27,244,987
Accumulated depreciation and impairment	-	(387,946)	(515,236)	(9,528,775)	(268,015)	(349,339)	(909,263)	(193,558)	(262,104)	-	(12,414,236)
Net carrying amount (valuation basis)	106,678	4,444,850	2,930,203	6,538,339	169,422	948	67,757	546,644	18,201	7,709	14,830,751
Net carrying amount (cost basis)	106,678	668,809	1,273,844	9,267,471	146,545	949	64,556	546,644	18,201	7,709	12,101,406

NOTES (Cont'd)

For the year ended 30th June 2018

17. Property, plant and equipment (continued)

Land developments and buildings were revalued on 30th June 2016 by Regent Valuers Limited based on an open market value basis (Level 2). Factory plant and machinery and heavy mobile machinery were revalued on 30th June 2016 by Tysons Limited based on a depreciated replacement cost basis (Level 2).

The balance on capital work in progress mainly represents expenditure on incomplete works on the new office block, cane buying centres and factory machinery that were in progress at the end of the reporting period.

During the year, due to the poor performance of the company, the directors have carried out a review to ascertain impairment in the carrying amount of plant and equipment. Based on the assessment, an impairment provision of KSh 1,512,091,000 has been recognised during the year in respect of the sugar, ethanol, water and the co-generation plants. Key assumptions made in the assessment of the recoverable amount of these impaired assets include:

- i) The residual value of the sugar plant has been taken at 40% due to prevailing plant age.
- ii) Rendement has been projected at 6.2% during the year 2018/2019 and at 8% for the subsequent periods.
- iii) The price of sugar per tonne projected at KSh 87,931 per tonne in 2019 and increasing by 2% thereafter.
- iv) Molasses has been projected at 5% of the cane considering that the company will be crushing mature cane.

Non-achievement of the above assumptions would lead to a further impairment in the carrying value of property, plant and equipment.

Effective 1st July 2016, the Company has accounted for its biological assets in accordance with revised IAS 41 and IAS 16 and prior year comparative figures have been restated accordingly. Under the standards, the root system of growing cane is recognised as a bearer plant from the 7th month when it is fully developed. Upon maturity, the Bearer plant begins to bear produce and remains productive for at least 3 harvest cycles of 16 months each as cane stamps sprout into new produce after each harvest.

Significant assumptions made in determining the carrying values of bearer plants are:-

- Bearer plants are carried at cost less depreciation. The cumulative cost of developing cane for the first 6 months has been capitalised and depreciated over the plant's economic life estimated to be 48 months. All costs incurred after the 6th month are expensed.
- Cane aged 1-6 months is recognised as work in progress since their root system is still developing.
- On initial application, the cost value of existing bearer plants have been estimated using standard cost of cane development per hectare. All subsequent additions are recognised at actual cost.

As at 30 June 2018, 89% (2017: 90%) of the Nucleus Estate land under cane cover measuring 2,204.09 ha (2017: 2,857.78 ha) was under fully developed (mature) bearer plant. The remaining 11% (2017: 10%) of Estate land measuring 262.15 ha (2017: 325.29 ha) was covered by developing (immature) bearer plant.

During the year, 299.66 ha (2017: 1,396.17 ha) of the Nucleus Estate was planted with new cane, 364.85 ha (2017: 1,323.11 ha) of growing cane roots matured and was recognised as additional bearer plants while 1,008.40 ha (2017: 1,453.27 ha) of mature bearer plants was fallowed or uprooted by reploughing.

All property, plant and equipment other than bearer plants have been charged to secure banking facilities as disclosed in Note 14.

NOTES (Cont'd)

For the year ended 30th June 2018

17. Property, plant and equipment (continued)

Fully depreciated property, plant and equipment:

	Cost/valuation	
	2018 KSh'000	2017 KSh'000
Motor vehicles	324,289	315,821
Other equipment and fixtures	677,380	633,907
Bearer plants	42,771	27,242
	1,044,440	976,970

The company owns 4,413.82 hectares of leasehold land. The land has been charged to secure banking facilities granted to the company as disclosed in Note 14. The development was last valued on 30 June 2016, by Regent Valuers Limited, on an open market basis at KSh 4,280,000,000. The value of the land has been reflected in the balance sheet as part of property, plant and equipment.

18. Intangible assets	Computer software KSh'000	Capital work-in- progress KSh'000	Total KSh'000
Cost or valuation			
1 July 2017 and 30 June 2018	295,487	134,213	429,700
Accumulated amortisation and impairment			
At 1 July 2017	279,694	30,359	310,053
Charge for the year	8,367	-	8,367
Impairment loss	-	103,854	103,854
At 30 June 2018	288,061	134,213	422,274
Net carrying amount			
At 30 June 2018	7,426	-	7,426
At 30 June 2017	15,793	103,854	119,647

Intangible assets represent computer software and development costs. Capital work in progress which related to software upgrade has been fully impaired.

At 30 June 2018, intangible assets with a cost of KSh 271,097,000 (2017: KSh 270,226,000) were fully amortised.

NOTES (Cont'd)

For the year ended 30th June 2018

19. Non-current staff receivables

	2018 KSh'000	2017 KSh'000
Staff receivables	41,522	59,024
Less: receivable within one year (Note 22)	(17,904)	(22,865)
Receivable after one year	23,618	36,159

The company operates a staff car loan scheme for employees whereby eligible employees are given loans to acquire cars for their personal use. The loans are repayable within a maximum period of 60 months.

Included in the staff receivables balances are staff car loans amounting to KSh 27,368,000 (2017: KSh 35,852,000) which are secured by the vehicles acquired through the loans. The effective interest rate on staff loans was 5%.

20. Inventories

	2018 KSh'000	2017 KSh'000
Sugar and molasses	7,199	36
Ethanol	4,108	2,620
Mechanical and electrical spares	11,307	2,656
Other consumables	311,767	403,177
	2,635	2,635
	325,709	408,468

Write down of inventories recognised as an expense during the year amounted to KSh 37,321,000 (2017: KSh 38,563,000).

21. Growing produce

	2018 KSh'000	2017 KSh'000
At beginning of the year	103,966	149,727
Decrease due to harvest at fair value less point of sale costs	(102,713)	(142,898)
	1,253	6,829
Gain arising from changes in fair value attributable to physical changes	22,806	75,920
Gain arising from changes in fair value attributable to price changes	(4,839)	21,217
Fair value gain during the year	17,967	97,137
Carrying amount at the end of the year	19,220	103,966

The Company grows sugar cane (biological asset) in its Nucleus Estate whose produce is harvested for replanting or milling. Effective 1st July 2016, the Company has accounted for its biological assets in accordance with revised IAS 41 and IAS 16. Under the revised standards, the stem of growing cane is recognised as growing produce from the 7th month when it begins to form sucrose. The produce fully matures with maximum sucrose 16 months thereafter but can be harvested as early as 9 months as seedcane.

NOTES (Cont'd)

For the year ended 30th June 2018

21. Growing produce (Continued)

Significant assumptions made in determining the fair values of biological assets and growing produce are:-

- Growing produce has been stated at fair value less point of sale cost. The valuation is based on a market price of KSh 4,050 per tonne of sugar cane (June 2017: KSh 4,200).
- Growing produce has been quantified in tonnes as the product average productivity per unit acreage at harvest age (TCHM) and actual acreage (ha) covered by the produce. The TCHM for 2018 was 1.856 (2017: 1.769)
- All costs incurred to maintain growing produce from the 7th month up to time of harvest are expensed.

As at 30 June 2018, 2,466.23 ha (2017: 3,183.07 ha) of Nucleus Estate was covered by growing cane. Of this, 9.2% (2017: 46.2 %) covering 227.28 ha (2017: 1,471.09 ha) had mature produce ready for harvest while 29.3% (2017: 22.9%) covering 722.51 ha (2017: 727.63 ha) had immature produce. The remaining 61.5% (2017: 30%) of growing cane covering 1,516.45 ha (2017: 986.39 ha) had not borne recognisable produce.

During the year, 74,842 tonnes (2017: 56,439 tonnes) of cane was harvested from the estate with a fair value less estimated point of sale costs of KSh 102,713,125 (2017: KSh 142,898,310).

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of the time value of money on estimated future cash flows is not significant.

The company expects to harvest the mature cane produce held at the end of the year within the next twelve months and thus the growing produce has been presented as a current asset.

22. Trade and other receivables

At 30th June 2018

	Gross Amount KSh'000	Provision for impairment KSh'000	Net 2018 KSh'000
Receivables from farmers	1,939,710	(1,887,143)	52,567
MOCO receivables	734,983	(734,983)	-
Trade receivables	519,210	(495,235)	23,975
Other receivables and prepayments	765,658	(752,266)	13,392
Advance payments to suppliers	205,891	(205,891)	-
Staff receivables (Note 19)	17,904	-	17,904
As at 30th June	4,183,356	(4,075,518)	107,838

At 30th June 2017

	Gross Amount KSh'000	Provision for impairment KSh'000	Net 2017 KSh'000
Receivables from farmers	2,036,547	(1,644,944)	391,603
MOCO receivables	734,983	(734,983)	-
Trade receivables	303,173	(196,246)	106,927
Other receivables and prepayments	993,749	(563,048)	430,701
Advance payments to suppliers	241,921	-	241,921
Staff receivables (Note 19)	22,865	-	22,865
As at 30th June	4,333,238	(3,139,221)	1,194,017

NOTES (Cont'd)

For the year ended 30th June 2018

22. Trade and other receivables (continued)

	2018 KSh'000	2017 KSh'000
The movement on the provision for impairment losses is as follows:		
At 1st July	3,139,221	2,941,985
Write offs	(43,602)	(4,568)
Net increase charged to profit and loss account	979,899	201,804
At 30th June	4,075,518	3,139,221

Receivables from farmers relates to cost of farm inputs supplied to farmers on credit. The cane planted acts as collateral and amounts are recovered on purchase of cane from the farmers.

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (Note 29).

23. Cash and cash equivalents

	2018 KSh'000	2017 KSh'000
For the purpose of the statement of cash flows, cash and cash equivalents comprise the following:		
Cash at bank and in hand	34,399	8,769
Bank overdraft (Note 14)	(2,796,807)	(2,709,504)
	(2,762,408)	(2,700,735)

24. Trade and other payables

Trade payables	1,481,201	1,446,331
Outgrowers	975,457	973,143
Accruals	4,419,493	3,145,238
Leave pay accrual	20,389	21,968
Statutory deductions	6,041,726	5,312,926
Other payables	330,776	274,949
	13,269,042	11,174,555

25. Deferred grant income

At the beginning and end of the year	18,420	18,420
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NOTES (Cont'd)

For the year ended 30th June 2018

26. Operating lease arrangements

The company as lessee:

Minimum lease payments under operating leases recognised through profit or loss

2018
KSh'000

2017
KSh'000

1,534

33,658

At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:

Within one year	1,534	8,061
In the second to fifth years inclusive	6,136	32,240
	7,670	40,301

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty provided the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to KSh10,528,000 (2017: KSh15,345,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables:

	2018 KSh'000	2017 KSh'000
Within one year	10,528	15,345

27. Related party transactions

The company operates a company car loan scheme for managerial and supervisory employees. The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to KSh1,148,000 (2017: KSh2,341,000). The distribution of the loans is as follows:

(a) Staff loans

	2018 KSh'000	2017 KSh'000
Due from key management	22,116	35,084
Due from other staff	5,252	768
	27,368	35,852

(b) Key management compensation

The remuneration for key management during the year was as follows:

Salaries and other benefits	70,592	126,210
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(c) Directors' remuneration

Fees for services as directors	3,558	3,750
Other emoluments	37,765	33,175
	41,323	36,925

NOTES (Cont'd)

For the year ended 30th June 2018

28. Capital commitments

Commitments at the year-end for which no provision has been made in these financial statements:

	2018 KSh'000	2017 KSh'000
Authorised and contracted for	8,320	8,320

The capital commitments relate primarily to purchase of heavy mobile machinery and upgrading of factory facilities.

29. Contingent liabilities

	2018 KSh'000	2017 KSh'000
Pending claims	11,231,271	11,231,271
Guarantees	23,500	23,500

The company had a number of pending claims and litigation cases at end of the year. These include the following:

- i) Mumias Sugar Company Limited (MSC) and Mumias Outgrowers Company Organisation (MOCO) have a dispute where MOCO has made a claim of Shs 3,723,008,000 in respect of cane development funds and interest overcharge. The dispute was taken to arbitration but the arbitration process has been temporarily suspended to allow without prejudice discussions between the parties. All amounts due from MOCO in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest have been fully provided for as indicated in Note 22.
- ii) Mumias Sugar Company Limited (MSC) and the Kenya Sugar Cane Growers Association (KESGA) have a dispute in respect of which KESGA has made a claim of Shs 899,462,000 from MSC for unlawfully and deliberately refusing to pay sugarcane farmers according to the simplified sugarcane pricing formula thereby causing a loss to the farmers.
- iii) Mumias Sugar Company Limited (MSC) and Dubai Bank Kenya Limited (DBKL) have a dispute in which DBKL has instituted winding-up proceedings against MSC over a Shs 91,249,000 debt accruing from a guarantee the Company gave to the bank over imported sugar.
- iv) Mumias Sugar Company Limited (MSC) has disputed an amount of Shs 162,693,000 (US\$1,856,666) demanded by Peeraj General Trading Company relating to contract variations on the ethanol distillery project.

The directors, having taken necessary professional consultations, are of the opinion that the above claims are unlikely to lead to any material financial loss to the company. In addition, where there is ongoing arbitration, the likely liability cannot be estimated reliably. No provision has therefore been made in these financial statements.

NOTES (Cont'd)

For the year ended 30th June 2018

30. Going concern - business plan to restore the company's profitability and solvency

The company's current liabilities exceeded its current assets by KSh 21 billion at 30th June 2018 (2017: KSh 15.2 billion). During the year ended 30th June 2018, the company incurred a loss of KSh 15,141,253,000 (2017: KSh 6,773,934,000). Moreover, as stated in Note 14, some of the lenders have issued demand letters requiring immediate payment of all sums outstanding. Although the lenders have not taken further action for recovery of the loans, some have charged the company penalty and interest.

In lieu of the above, the Board of Directors notes that the going concern uncertainty is therefore still a key risk and has instituted a resolute engagement of key stakeholders including the Government of Kenya and the lenders in the implementation of the turn around strategy.

The Government of Kenya has set aside KSh 2.6 billion to settle cane farmer arrears with KSh 0.7 billion of the KSh 0.9 billion allocated to Mumias already paid out to Mumias Sugar farmers. His Excellency the President of Kenya commissioned the Task Force on Sugar to review and check on the emerging Challenges facing the sugar industry and make recommendations for revival. The ongoing Government of Kenya's concerted efforts to crackdown on illegally imported sugar and ethanol and the push to resume cane zoning are all very encouraging initiatives that will greatly support MSC's turn around strategy and help revive the ailing sugar sector.

Discussions with the lenders to restructure the debts and extend the standstill arrangements are ongoing to obtain much needed financial reliefs. The Board is seeking to enlist the support of the lenders to identify a suitable and competent strategic partner to enhance the financial capabilities to enable full business recovery.

The company is in the process of leasing out noncore assets and facilities including the Nuclues estate farm, Stadium, schools, housing estates, water bottling plant and welfare facilities. These coupled with a staff right sizing, setting up of new cane purchase revolving fund to secure cane supply, and the independent operation of the distillery should see the Company's fortunes improve for the better in the coming years.

The Board has carefully considered all the above realities and prepared the financial statements on a going concern basis due to their belief in the current Company's turnaround strategy and the support obtained from the key stakeholders.

31. New and revised financial reporting standards

The company has not applied the following new and revised standards and interpretations that have been published but are not yet effective for the year beginning 1st July 2017.

IFRS 15 Revenue from Contracts with Customers (issued in May 2014)

The new standard, effective for annual periods beginning on or after 1st January 2018, replaces IAS 11, IAS 18 and their interpretations (SIC-31 and IFRIC 13, 15 and 18). It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and capital markets, with a core principle (based on a five-step model to be applied to all contracts with customers), enhanced disclosures, and new or improved guidance.

Under IFRS 15, revenue from sale of goods will be recognised when the customer obtains control of the goods. Revenue from sales of services will be recognised over time provided the consumption of the service by the customer is simultaneous with the performance of the service by the company. Having carried out a preliminary assessment, the directors do not expect there to be a material retrospective adjustment to retained earnings on initial application of the standard in the year ending 30th June 2019.

NOTES (Cont'd)

For the year ended 30th June 2018

31. New and revised financial reporting standards (continued)

IFRS 9 Financial Instruments (issued in July 2014)

This standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1st January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and derecognition, summarised as follows:

- o IFRS 9 requires all financial assets to be measured at fair value on initial recognition and subsequently at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.
- o For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.
- o For the impairment of financial assets, IFRS 9 introduces an “expected credit loss” (ECL) model based on the concept of providing for expected losses at the inception of a contract; this will require judgement in quantifying the impact of forecast economic factors. For financial assets for which there has not been a significant increase in credit risk since initial recognition, the loss allowance should represent ECLs that would result from probable default events within 12 months from the reporting date (12-month ECLs). For financial assets for which there has been a significant increase in credit risk, the loss allowance should represent lifetime ECLs. A simplified approach is allowed for trade receivables and lease receivables, whereby lifetime ECLs can be recognised from inception.
- o For hedge accounting, IFRS 9 introduces a substantial overhaul allowing financial statements to better reflect how risk management activities are undertaken when hedging financial and non-financial risk exposures.
- o The derecognition provisions are carried over almost unchanged from IAS 39.

Amendments to IFRS 10 and IAS 28 titled Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (issued in September 2014)

The amendments, applicable from a date yet to be determined, address a current conflict between the two standards and clarify that a gain or loss should be recognised fully when the transaction involves a business, and partially if it involves assets that do not constitute a business.

IFRS 16 Leases (issued in January 2016)

The new standard, effective for annual periods beginning on or after 1st January 2019, introduces a new lessee accounting model, and will require a lessee to recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. A lessee will be required to recognise a right-of-use asset representing its right to use the underlying leased asset and a lease liability representing its obligation to make lease payments.

Application of IFRS 16 in 2019 will require right-of-use assets and lease liabilities to be recognised in respect of most operating leases where the company is the lessee. The impact has not yet been quantified, but will result in an increase in non-current assets, an increase in non-current and current liabilities, and a reduction in retained earnings.

NOTES (Cont'd)

For the year ended 30th June 2018

31. New and revised financial reporting standards (continued)

Amendments to IFRS 2 titled *Classification and Measurement of Share-based Payment Transactions* (issued in June 2016)

The amendments, applicable to annual periods beginning on or after 1st January 2018, clarify the effects of vesting and non-vesting conditions on the measurement of cash-settled share-based payments (SBP), the accounting for SBP transactions with a net settlement feature for withholding tax obligations, and the effect of a modification to the terms and conditions of a SBP that changes the classification of the transaction from cash-settled to equity-settled.

Amendments to IFRS 4 titled *Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts* (issued in September 2016)

The amendments, applicable to annual periods beginning on or after 1st January 2018, include a temporary exemption from IFRS 9 for insurers that meet specified criteria and an option for insurers to apply the overlay approach to designated financial assets.

Amendment to IFRS 1 - *Annual Improvements to IFRSs 2014–2016 Cycle*, issued in December 2016

The amendment, applicable to annual periods beginning on or after 1st January 2018, deletes certain short-term exemptions and removes certain reliefs for first-time adopters.

Amendment to IAS 28 - *Annual Improvements to IFRSs 2014–2016 Cycle*, issued in December 2016

The amendment, applicable to annual periods beginning on or after 1st January 2018, clarifies that exemption from applying the equity method is available separately for each associate or joint venture at initial recognition.

Amendments to IAS 40 titled *Transfers of Investment Property* (issued in December 2016)

The amendments, applicable to annual periods beginning on or after 1st January 2018, clarify that transfers to or from investment property should be made when, and only when, there is evidence that a change in use of property has occurred.

IFRIC 22 titled *Foreign Currency Transactions and Advance Consideration* (issued in December 2016)

The Interpretation, applicable to annual periods beginning on or after 1st January 2018, clarifies that the exchange rate to use in transactions that involve advance consideration paid or received in foreign currency is the one at the date of initial recognition of the non-monetary asset or liability.

IFRS 17 *Insurance Contracts* (issued in May 2017)

The new standard, effective for annual periods beginning on or after 1st January 2021, establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts issued. It also requires similar principles to be applied to reinsurance contracts held and investment contracts with discretionary participation features issued. The objective is to ensure that entities provide relevant information in a way that faithfully represents those contracts. The company does not issue insurance contracts.

IFRIC 23 *Uncertainty over Income Tax Treatments* (issued in June 2017)

The Interpretation, applicable to annual periods beginning on or after 1st January 2019, clarifies how to apply the recognition and measurement requirements of IAS 12 when there is uncertainty over income tax treatments.

Amendments to IAS 28 titled *Long-term Interests in Associates and Joint Ventures* (issued in October 2017)

The amendments, applicable to annual periods beginning on or after 1st January 2019, clarify that an entity applies IFRS 9, rather than IAS 28, in accounting for long-term interests in associates and joint ventures.

Amendments to IFRS 9 titled *Prepayment Features with Negative Compensation* (issued in October 2017)

The amendments, applicable to annual periods beginning on or after 1 January 2019, allow entities to measure prepayable financial assets with negative compensation at amortised cost or fair value through other comprehensive income if a specified condition is met.

Amendments to IFRS 3 - *Annual Improvements to IFRSs 2015–2017 Cycle*, issued in December 2017

The amendments, applicable to annual periods beginning on or after 1st January 2019, provide additional guidance on applying the acquisition method to particular types of business combination.

NOTES

[illegible]



NOTES

[illegible]

NOTES

[illegible]

PROXY FORM

Share Member No.....

The Company Secretary,
Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

PROXY

I/We _____ of _____

Being a *Member/Members of the named Company, hereby appoint:

_____ of _____

Or failing him _____ of _____

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 5th April 2019 and at any adjournment thereof.

*Strike out as appropriate

Signature (s)

Signed this _____ day of _____ 2019

Notes:

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

Cut here

Shareholders admission letter for MSC AGM on Friday 5th April 2019.

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance. Kindly note that only the registered shareholder or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

NAME _____

SIGNATURE _____

SHARE ACCOUNT NUMBER _____

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College- Kisumu on Friday 5th April 2019 at 10.00 am.

FOMU YA UWAKILISHI

Nambari ya Mwanahisa.....

Katibu Wa Kampuni,
Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

WAKALA

Mimi/Sisi _____ kutoka _____

Kama* mwanachama/Wanachama wa Kampuni iliyotajwa namteua/twamteua

_____ kutoka _____

Au akikosa _____ kutoka _____

Kama wakala wangu/wetu kupiga kura kwa niaba yangu*/sisi wakati wa Mkutano wa kawaida (AGM) utakaofanyika Ijumaa 5th Aprili 2019 au kuahirishwa kwake.

*Jaza panapohitajika.

Imetiwa sahihi _____ Tarehe _____ Mwaka 2019

Muhimu:

- 1) Anwani iwe kama ilivyoonyeshwa katika rejista ya wanachama
- 2) Endapo mwanachama atakuwa shirika, ni lazima fomu hii ya uwakilishi ipigwe mhuri au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika aliyeidhinishwa.
- 3) Si lazima kwa mtu aliyeteuliwa kama wakala kuwa mwanachama wa kampuni
- 4) Endapo mmiliki ni zaidi ya mmoja, sahihi ya mmoja wao itakuwa imetosha lakini majina ya wamiliki wote yaonyeshwe.

Kata Hapa

Barua ya kuwaruhusu wanahisa kuhudhuria mkutano wa kawaida wa MSC Ijumaa Aprili 5, 2019.

Tafadhali jaza barua hii na ufahamu kwamba ni lazima itolewe nawe au wakala wako wakati wa mkutano wa pamoja wa mwaka ili kurekodi

idadi ya waliohudhuria.

Tafadhali fahamu kwamba ni wanahisa waliosajiliwa tu au mawakala wao ambao majina yao yatakuwa yamewasilishwa kwa kampuni saa 48

kabla ya kuanza kwa mkutano watakaoruhusiwa kuhudhuria.

JINA _____

SAHIHI _____

AKAUNTI YA MWANAHISA _____

Mkutano usio wa kawaida wa Kampuni ya MSC utakaofanyika katika Tom Mboya Labour College- Kisumu Ijumaa Aprili 5, 2019 kuanzia saa nne asubuhi.



MUMIAS SUGAR COMPANY LIMITED

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+254 734 600 334/5

Email: msc@mumias-sugar.com

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P.O. 57092 City Square 00200 Nairobi, Kenya

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